

AKUAPEM RURAL BANK LIMITED

**FINANCIAL STATEMENTS
FOR THE YEAR ENDED
31 DECEMBER, 2020**

CONFIDENTIAL RESTRICTED FINAL DRAFT

AKWAPEM RURAL BANK LIMITED

Financial statements for the year ended 31 December, 2019

Contents	Page
Corporate information for the year ended 31 December, 2020	4
Five year financial summary and financial highlights.....	5
Directors' responsibilities in respect of the financial statements.....	6
Report of the Directors	7
Corporate Governance (CG) report.....	11
Independent Auditor's report	20
Statement of comprehensive income	26
Statement of financial position	27
Statement of changes in equity	28
Statement of changes in equity	29
Statement of cash flow	30
1.0 Reporting entity	31
1.1 Principal activity	31
2.1 Basis of preparation.....	31
2.1.1 Statement of compliance.....	31
2.1.2 Approval of the audited financial statements	31
2.1.3 Basis of presentation of the financial statements	31
2.1.4 Basis of measurement	31
2.1.5 Functional and presentation currency	31
2.1.6 Use of estimates and judgments.....	32
2.2 Summary of significant accounting policies	32
2.3 Foreign currency transactions	33
2.4 Revenue, interest income, fee and commission income and dividend income	33
2.5 Interest expense	34
2.6 Administration, general and other operating expenses	34
2.7 Cash and cash equivalents.....	34
2.8 Financial assets and liabilities	35
2.9 Framework for impairment of financial assets	36
2.10 De-recognition of financial assets	38
2.11 Offsetting.....	39
2.12 Renegotiated loans	39
2.13 Fair value measurement.....	39
2.14 Income tax expense	39
2.15 Provisions	40
2.16 Employee benefits	41

2.17 Inventories.....	42
2.18 Share capital and equity.....	42
2.19 Borrowing cost	43
2.20 Related parties	43
2.21 Property, plant and equipment	44
2.22 Impairments of assets and other non-financial assets	45
2.23 Earnings per Share	45
3.1 Standards, amendments and interpretations not yet adopted	45

CONFIDENTIAL RESTRICTED FINAL DRAFT

AKUAPEM RURAL BANK LIMITED
Corporate information for the year ended 31 December, 2020

Board of Directors	Capacity	Tax Identification Number
Mrs. Emma Owusu-Amoah	Chairperson (Retired, 8 th October, 2020	P0004423542
Mr. Kwame Gyeke-Amoako*	Vice Chairman	P0002247275
Dr. Ernest Obuobisa-Darko**	Non-Executive Director	P001138851X
Dr. William Adjei Twumasi	Non-Executive Director	P0005191416
Mr. Samuel Dako	Non-Executive Director	P0007835566
Emmanuel Nii Awuku	Non-Executive Director	P0009017496
<i>* Acting Chairman effective 8th October, 2020 ** Acting Vice Chairman effective 8th October, 2020</i>		
Kingsley Kyere	General Manager, effective 1 st July, 2020	
Secretary	Eric Oheneba Antwi-Bosiako (Resigned, 11 th December, 2019)	
Tax Identification Number (TIN)	P0009334297	
Solicitors	Amoako Adjei Law Consult P. O. Box 1105 House No. OG/B75 Post office – Ministries Road Koforidua – Eastern Region Ghana	
Registered Office and Principal Place of Business	Akuapem Rural Bank Limited P. O. Box 5 Banking Premises Mamfe-Akuapem Tel: 0303-965730 E-mail: info@akuapemruralbank.com Website: www.akuapemruralbank.com	
Independent Auditors	UHY Voscon Chartered Accountants 2 nd Floor, Cocoshe House, Opposite Silver Star Tower Agostinho Neto Close Airport Residential Area Accra- Ghana Phone +233 30 2683 430/4 Email: Info@uhyvoscon-gh.com Web: www.uhyvoscon-gh.com GA: -057-1475	
Bankers	ARB Apex Bank Limited Absa Bank Ghana Limited	
Company Registration Number	CS292772017	
Tax Identification Number (TIN)	C0006302203	

AKUAPEM RURAL BANK LIMITED
Five-year financial summary and financial highlights
(All amounts are stated in Ghana cedis unless otherwise stated)

Five-year financial summary	2020	2019	2018	2017	2016
Interest income	13,368,045	12,588,812	13,120,249	12,904,828	11,710,440
Interest expense	(2,233,419)	(2,804,206)	(2,558,046)	(2,389,235)	(1,736,235)
Net interest income	11,134,626	9,784,606	10,562,203	10,515,593	9,974,205
Fees and commission income	1,495,766	1,177,451	1,319,527	581,860	610,151
Other operating income	351,827	260,371	238,665	122,589	142,869
Profit/(loss) before tax	662,231	551,874	1,101,938	1,786,196	2,640,783
Tax expenses	(325,228)	(103,597)	(200,762)	(487,126)	(625,699)
Profit/(loss) after tax	337,003	492,121	901,176	1,299,070	2,015,084
Total assets	94,473,249	74,033,858	67,594,771	60,673,306	50,901,851
Equity	10,248,078	9,969,755	10,133,620	9,883,410	9,517,287
Total equity and liabilities	94,473,249	74,033,858	67,594,771	60,673,306	50,901,851
Financial highlights	2020	2019	Percentage change (%)		
Interest income	13,368,045	12,588,812	6.19		
Interest expense	(2,233,419)	(2,804,206)	(20.35)		
Net Interest Income	11,134,626	9,784,606	13.80		
Commission and fees	1,495,766	1,177,451	27.03		
Other operating income	351,827	260,371	35.13		
Profit/(loss) before taxation	662,231	551,874	20.00		
Profit/(loss) after tax	337,003	492,121	(24.82)		
Total assets	94,473,249	74,033,858	27.61		
Equity	10,248,078	9,969,755	2.79		
Total equity and liabilities	94,473,249	74,033,858	27.61		



AKUAPEM RURAL BANK LIMITED

Directors' responsibilities in respect of the financial statements Statement of Directors' responsibilities

The Directors are required to ensure that adequate accounting records are maintained so as to disclose at reasonable adequacy, the financial position of the Bank. They are also responsible for steps to safeguard the assets of the Bank and to prevent and detect fraud and other irregularities. They must present financial statements for each financial year, which give a true and fair view of the affairs of the Bank, and the results for that year. In preparing these financial statements, they are required to:

- Select suitable accounting policies and apply them on a consistent basis using reasonable and prudent judgment.
- State whether or not the Companies Act, 2019 (Act 992), the Bank and Specialised Deposit-Taking Institutions Act, 2016 (Act 930) and in accordance with International Financial Reporting Standards ("IFRS") have been adhered to and explain material departures thereto.
- Use the going concern basis unless it is inappropriate.

The Board acknowledges its responsibility for ensuring the preparation of the annual financial statements in accordance with IFRS and the responsibility of external auditors to report on these financial statements. The Board is responsible for ensuring the maintenance of adequate accounting records and an effective system of internal controls and risk management.

Nothing has come to the Board's attention, to indicate any material breakdown in the functioning of the internal controls and systems during the year under review, which could have a material impact on the business.

The financial statements are prepared from the accounting records on the basis of consistent use of appropriate records supported by reasonable and prudent judgments and estimates that fairly present the state of affairs of the Bank. The financial statements have been prepared on a going concern basis and there is no reason to believe that the Bank will not continue as a going concern in the next financial year. The Directors confirm that in preparing the financial statements, they have:

- selected suitable accounting policies and applied them consistently.
- made judgments and estimates that are reasonable and prudent.
- followed the International Financial Reporting Standards.
- prepared the financial statements on the going concern basis.

The Directors are responsible for keeping proper accounting records which disclose with reasonable accuracy at any time the financial position of the Bank and to enable them ensure that the financial statements comply with the Companies Act, 2019 (Act 992), the Bank and Specialised Deposit-Taking Institutions Act, 2016 (Act 930) and in accordance with International Financial Reporting Standards ("IFRS"). They are also responsible for safeguarding the assets of the Bank and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

By the order of the Board:

Name of Director..... Name of Director.....

Signature..... Signature.....

Date..... Date.....



**Report of the Directors
to the members of
Akuapem Rural Bank Limited**

The Directors are pleased to present their report together with the audited financial statements for the year ended 31 December 2020, which disclose the statement of the affairs of Akuapem Rural Bank Limited (the "Bank").

Financial results

Detailed financial results for the year are set out in the attached audited financial statements with an extract as below.

	2020	2019
Profit/(loss) before tax for the year	662,231	551,874
from which is deducted income tax expense of	(325,228)	(103,597)
giving profit after tax of	337,003	448,277
to which is added balance on retained earnings account brought forward	4,260,073	4,802,652
Prior year adjustment	174,956	(456,340)
Write off	(280,066)	
Leaving a balance before statutory and other transfers of	4,491,966	4,794,588
From which the following transfers were made:		
Transfer to statutory reserve	(42,125)	(56,035)
Transfer to dividend account	-	(478,481)
Other movement of:		
Regulatory credit risk reserve*	-	-
	4,449,841	4,260,073

* The bank did not perform impairment on loans based on IFRS 9 criteria.

The increase in the statutory reserve was due to the provision in the section 34(b) of the Bank and Specialised Deposit-Taking Institutions Act, 2016 (Act 930). The Directors consider the state of affairs of the Bank to be satisfactory.

Dividend

No dividend was proposed by the Directors in line with the Bank of Ghana directives for the 2020 reporting year.

By the order of the Board:

Name of Director..... **Name of Director**.....

Signature..... **Signature**

Date..... **Date**

**Report of the Directors
to the members of
Akuapem Rural Bank Limited (continued)**

Stated capital and capital adequacy ratio

The stated capital of the Bank at the end of the reporting was GHS 2,153,013 and deposit for shares of GHS 47,510. The Bank met the minimum capital requirement, and the 10% minimum capital adequacy ratio. The Capital adequacy ratio was 20.33%.

Principal activities

The principal business of the Bank is to provide banking services.

Appointment, retirement and re-election of Board Members

Mrs. Emma Owusu-Amoah, the chairperson retired on 8th October, 2020.

The Directors in office at the end of the reporting year are as follows:

Board of Directors	Position	Qualification/Profession	Date appointed	Date of Birth/Age (yrs)
Mr. Kwame Gyeke-Amoako	Vice Chairman	Business Executive	23/5/2015	19/10/1954(65)
Dr. William Adjei Twumasi	Non-Executive Director	Accountant	23/5/2015	28/02/1961(60)
Dr. Ernest Obuobisa-Darko	Non-Executive Director	Banker/Economist	29/9/2018	23/11/1962(57)
Mr. Samuel Dako	Non-Executive Director	Banker	29/9/2018	17/5/1968(52)
Emmanuel Nii Awuku	Non-Executive Director	Retired Banker	29/9/2018	05/07/1954(65)

Report of the Directors to the members of Akuapem Rural Bank Limited (continued)

Training and Continuous Professional Development (CPD)

During the year, various training to management has involved some of the Board of Directors to help the Bank to achieve its goals though no formal and tailored programme were organized for the Board of Directors. Training of the Directors will continually update their skills, their knowledge and familiarity with the Bank's businesses, their awareness of sector, risk, regulatory, legal, and financial and other developments to enable them to fulfil effectively their role on the board and Committees of the Board.

Code of Conduct

Akuapem Rural Bank Limited has a Code of Conduct policy approved by the Board of Directors of the Bank. This addresses areas like complying with local laws and regulations, the Bank not offering, giving, or accepting inappropriate gifts or benefit to or from third parties, prevention of money laundering and fraud, avoidance of conflict of interest, openness and honesty with regulators, confidentiality amongst others.

Conflict of interest and compliance

The Bank's Code of Conduct addresses conflicts of interest i.e. actual and potential conflict of interest. Further, personal conflict of interest and business conflict of interest are addressed by the Code.

Events after reporting year

The Directors are not aware of any adjusting events after the reporting year except the disclosure on note 32 regarding the Corona Virus pandemic.

Corporate social responsibilities

The Donation and community development by the Bank amounted to GHS 34,752 in the reporting year under review. Sampled organisations like Ghana National Fire Service, Ghana Police Service, Larteh, Adukroman Council, Akuapem Adontenman Council, Farmers Day celebration, Ghana Education Service, Nsawam etc. benefited from the above.

Related party transactions

Related party transactions are transactions that each counter party has the ability to influence the outcome of the transaction for economic benefits. Related party transactions and balances are also disclosed in notes to the financial statements. All the Directors and key management personnel have interest in shares but no debt interest was issued by the Bank during the year under review of the Bank. Other than service contracts, no Director has a material interest in any contract to which the Bank was a party during the year. Note 28 has disclosures on related party transactions.



Approval of financial statements

The financial statements for the year set out on pages 26 to 74, which have been prepared on a going concern basis, were approved by the Board of Directors and signed on their behalf by:

By the order of the Board:

Name of Director..... Name of Director.....

Signature..... Signature.....

Date..... Date.....

CONFIDENTIAL RESTRICTED FINAL DRAFT



AKUAPEM RURAL BANK LIMITED Corporate Governance (CG) report

Overview

Akuapem Rural Bank Limited is committed to strong corporate governance practices that allocate rights and responsibilities among the Bank's Shareholders, the Board and Executive Management to provide an effective oversight and management of the Bank in a manner that enhances shareholders' value and promotes investors' confidence.

The Bank's corporate governance principles are contained in a number of corporate documents. The Board oversees the conduct of the Bank's business and is primarily responsible for providing effective governance over the Bank's key affairs, including the appointment of Executive Management, approval of business strategies, evaluation of performance and assessment of major risks facing the Bank.

In discharging its obligations, the Board exercises professional judgment in the best interest of the Bank and relies on the Bank's Executive Management to implement approved business strategies, resolve day-to-day operational issues, keep the Board informed, and maintain and promote high ethical standards. The Board delegates authority in management matters to the Bank's Executive Management subject to clear instructions in relation to such delegation of authority and the circumstances in which Executive Management shall be required to obtain Board approval prior to taking a decision on behalf of the Bank.

The Board is the ultimate decision-making body for all material matters within the Bank. It is responsible for providing leadership, setting the strategic direction of the Bank and monitoring management to ensure effective execution of such strategy. The Board is responsible for a sound system of internal controls and risk management. Akuapem Rural Bank Limited's commitment to ensuring international best practice in terms of Corporate Governance remains strong and unwavering.

1. Board composition

The Board at all times, shall be regulated by the Companies Act, 2019 (Act 992), and the Banks and Specialised Deposit Taking Institutions Act, 2016 (Act 930), notices of Bank of Ghana and ARB Apex Bank Limited.

The Board for the 2020 reporting year was diverse, with a good mix of experience and skills with a Board size of six (6) members. The areas of expertise and age of the directors are as follows:

Board of Directors	Position	Qualification/Profession	Date appointed	Date of Birth/Age (yrs)
Mrs. Emma Owusu-Amoah	Chairperson	Banker	25/5/2014	31/01/1967(54)
Mr. Kwame Gyeke-Amoako	Vice Chairman	Business Executive	23/5/2015	19/10/1954(65)
Dr. William Adjei Twumasi	Non-Executive Director	Accountant	23/5/2015	28/02/1961(60)
*Dr. Ernest Obuobisa-Darko	Non-Executive Director	Banker/Economist	29/9/2018	23/11/1962(57)
*Mr. Samuel Dako	Non-Executive Director	Banker	29/9/2018	17/5/1968(52)
*Emmanuel Nii Awuku	Non-Executive Director	Retired Banker	29/9/2018	05/07/1954(65)



AKUAPEM RURAL BANK LIMITED

Corporate Governance (CG) report

Role of the Chairman/Chairperson and the General Manager

The role of the Board Chair and the General Manager are kept distinct. Except for direction and guidance on general policy, the Board has delegated the conduct of the day-to-day business to the General Manager.

Professional development and training activities

The Bank has a very comprehensive and tailored induction process for new Directors. The induction process covers the Bank's business operations, the risk and compliance functions as well as the legal, regulatory and other personal obligations and duties of a Director of a Bank. Aside the induction programme, the Bank ensures a continuous development programme which is needs-based and is designed for individual Directors, committees or for the Board. The Directors are kept updated on all regulations and laws that are enacted which may affect the operations of the Bank and are also advised of the legal, regulatory and other obligations of a Director on an ongoing basis. The Directors have access to independent professional advice to enable them to discharge their duties. The Board and its committees are periodically trained in various programmes to enhance their role to the strategic direction of the Bank.

Performance evaluation

Per section 63 of the Board of Directors Charter dated 2nd November, 2019, The Bank performed an internal annual appraisal of individual directors and the Board. An internal appraisal of the Board sub-committee is yet to be performed. No external appraisal of the individual directors, Board and its committees was done in the 2020 reporting year.

Frequency of Board meetings and attendance

The Full Board meets monthly and convened twelve (12) meetings. The scheduled Board meetings were conveyed on 25th January, 22nd February, 28th March, 25th April, 23rd May, 20th June, 25th July, 29th August, 26th September, 24th October, 28th November and 19th December, 2020. There were no adhoc meetings. There is a process in place to ensure that Directors receive reports in a timely manner to enable them ask appropriate questions and make informed decisions.

Aside formal meetings, the Directors are engaged informally throughout the year. This creates an environment that encourages challenge, consultation, information sharing, innovative thinking and openness in communication. The Directors are encouraged to interact with the staff and to broaden their understanding of the Bank's operations. The following table shows the number of Board meetings held during the year and the attendance by the Directors.

AKUAPEM RURAL BANK LIMITED
Corporate Governance (CG) report-cont

Meeting attendance

Members	Board meetings (12)	Percentage of attendance (%)	Adhoc meetings (3)
Mrs. Emma Owusu-Amoah	9/10*	90	N/A
Mr. Kwame Gyeke-Amoako	12/12	100	N/A
Dr. Ernestina Obuobisa-Darko	11/12	91.7	N/A
Mr. Emmnauel Nii Awuku	12/12	100	N/A
Dr. William Adjei Twumasi	12/12	100	N/A
Mr. Samuel Dako	10/12	83.3	N/A

* Retired in October before the two Board meetings held in November and December, 2020

Board Sub-Committees

From Version 1 of the Board sub-committees' manual, the Board established six (6) Committees to help in the performance of its mandate. In addition, Ad-hoc sub committees shall be formed to address specific issues and shall exist for that period until the issue is sorted out to the satisfaction of the Board. These sub committees are:

- Credit & Procurement
- Risk, Audit & Compliance
- Human Resource & Governance
- Microfinance & Operations

Restructuring of Board-Sub Committees

The sub-committees of the Board were restructured as below:

Old Committees	Restructured Committee
Credit & Finance	Credit & Procurement(CP)
Operational & Risk, Audit & Internal Control/IT	Risk, Audit & Compliance(RAC)
Human Resource, Legal	Human Resource & Governance(HRG)
Microfinance	Microfinance & Operations(MO)

AKUAPEM RURAL BANK LIMITED

Corporate Governance (CG) report-cont

Overview of Board sub-committees

Credit & Procurement committee (CP)

Membership

The committee shall comprise of a minimum of two (2) and maximum of four (4) members. The members during the year under review were Dr. Ernest Obuobisa-Darko (Chairman), Dr. William Adjei Twumasi (member) and Mr. Emmanuel Nii Awuku (member).

Duties

The duties of the above committee are as follows:

- Set out the nature, role, responsibility and authority of the credit risk management function of the Bank.
- Review and oversee the overall lending policy, including monitoring and risk management tools.
- Review loan application in excess of Management Credit Committee limit and recommend to the Board in excess of Sub-Committee limit.
- Review lending practices and quality of loan portfolio.
- Ensure that there are effective procedures and adequate resources to identify and mitigate credit risk.
- Monitor and evaluate all issues that may materially impact on the present and future quality of the loan portfolio and credit risk management.
- Delegate and review lending limits to the sanctioning arms of the Bank.
- Ensure management makes adequate provisions for various categories of loans and advances, bad and doubtful debts in line with Bank of Ghana policies.
- Conduct loan reviews independent of any persons or any other Committee responsible for sanctioning Credit.
- Ensure that credit policy and risk lending limits are reviewed biannually and as and when the environment dictates.
- Set limits on lending exposure and specific actions for the PAR in line with the Bank's risk management programs and market conditions.
- Monitor and report to the Board issues concerning the Bank's assets and liabilities by providing an independent and objective oversight and reviews of the information provided by management to ensure that the Bank operates within industry limits whilst maximizing returns to shareholders without enhancing risk.
- Review and recommend related policies to the Board.
- Review credits granted to or guaranteed by Directors or Management personnel or to entities in which Directors or Management personnel are partners, Directors or Officers and review the Bank's policy related to such credits in line with specific provisions of the Banking Act and Companies Act.
- Review all significant delinquent credits and management's actions taken or contemplated for their recovery.
- Review trends in quality of and concentration in the Bank's credit portfolio to identify emerging problems and take action to deal with the problems.

The Committee shall support the Finance Function of the Bank in the following areas:

- Review and recommend annual budget to the Board.
- Review monthly performance of the business against the budget and suggest remedial actions to correct off-targets trends.
- Ensure returns to BoG agree with primary data in our books.
- Ensure that the Bank's Investment policy and the institutions cleared for placement of Banks reserves are current and fit for purpose.

AKUAPEM RURAL BANK LIMITED
Corporate Governance (CG) report-cont.

Frequency of meetings

Members	Meetings (11)	Percentage of attendance (%)	Adhoc meetings
Mr. Ernest Obuobisa-Darko	11/11	100	N/A
Dr. William Adjei Twumasi	11/11	100	N/A
Mr. Emmanuel Awuku	11/11	100	N/A

Risk, Audit & Compliance committee (RAC)
Membership

The Committee shall comprise of two (2) members. The members were Mr. Samuel Dako (Chairman), Dr. William Adjei Twumasi (member) and Mr. Kwame Gyeke-Amoako (member).

Duties

The duties of the above committee are as follows:

- Ensure that the Bank's overall operational risk exposure is maintained at prudent levels and effective controls are in place to mitigate risk.
- Ensure that the Bank implements sound fundamental principles that facilitate the identification, measurement, monitoring and control of operational risk.
- Ensure that adequate resources (material as well as human) are available for and devoted to operational risk management.
- Ensure that Akuapem Rural Bank Management and individuals responsible for the Operational Risk Management possess sound expertise and knowledge to accomplish the Operational Risk Management function.
- Ensure that roles and responsibilities are assigned to all staff involved in operations and monitor whether the duties and responsibilities are effectively carried out.
- Ensure that the right procedures and processes are in place for all the products and services offered by the Bank.

Frequency of meetings

The Committee shall meet once in a month and as and when necessary without unduly exceeding meeting targets as set by the Board for the year.

Members	Meetings (11)	Percentage of attendance (%)	Adhoc meetings
Mr. Samuel Dako	11/11	100	N/A
Dr. William Adjei Twumasi	10/11	90.9	N/A
Mr. Kwame Gyeke-Amoako*	6/11	54.5	N/A

** Acting Chairman of the Board effective 8th October, 2020*

AKUAPEM RURAL BANK LIMITED
Corporate Governance (CG) report-cont.

Human Resource & Governance committee (HRG)
Membership

The Committee shall comprise a minimum of two (2) members and a maximum of three (3) members. The members were Dr. William Adjei Twumasi (Chairman), Dr. Ernest Obuobisa Darko (member) and Mr. Samuel Dako (member).

Duties

The duties of the above Committee are as follows:

The Committee shall work closely with the Human Resource Department of the Bank and shall be responsible for the Bank's Human Capital related needs in the areas of recruitment, training & development, compensation and retention. Duties shall include (but not be limited to):

- Regular review of the state of HR issues in the Bank:
 - Ensuring there are optimum numbers in place in all branches to facilitate the achievement of target and maintenance of service standings.
 - Assist the HR Department to maintain discipline and work life balance among staff.
- Establish and periodically review Compensation Structure policy.
- Support the Legal Sub-Committee in handling staff related problems such as law suit or grievance against the Bank.
- Review and recommend Human Resource Policies.
- Review Management's recommendations for Management staff transfers and all staff promotions.
- Liaise with any Ad-Hoc Sub-Committee established to handle staff related issues.

Frequency of meetings

Members	Meetings (7)	Percentage of attendance (%)	Adhoc meetings
Dr. William Adjei Twumasi	7/7	100	N/A
Dr. Ernest Obuobisa-Darko	7/7	100	N/A
Mr. Samuel Dako	7/7	100	N/A

Frequency of meetings

The Committee shall meet every quarter in a year.

Microfinance & Operations Committee

Membership

The committee shall comprise of a maximum of three (3) members. The membership were Mr. K.Gyeke-Amoako (Chairman), Dr. Ernest Obuobisa-Darko (member) and Mr. Emmanuel Nii Awuku (member).

AKUAPEM RURAL BANK LIMITED
Corporate Governance (CG) report-cont

Duties

The duties of the above Committee are as follows:

- Receive and review the monthly report from the Micro –finance Department.
- Strengthen the effectiveness and controls of the Department

Frequency of meetings

The Committee shall meet once in a month and as and when necessary without unduly exceeding meeting targets as set by the Board for the year.

Members	Meetings (5)	Percentage of attendance (%)	Adhoc meetings
Mr. Kwame Gyeke-Amoako	4/5	80	N/A
Dr. Ernest Obuobisa-Darko	5/5	100	N/A
Mr. Emmanuel Nii Awuku	5/5	100	N/A

Officers of the Bank

In line with the Companies Act, 2019 (Act 992), the Bank at the date of this report expressly or impliedly authorised officers to act in various capacities as below:

Officers	Capacity (31st December, 2020)
Kingsley Kyere	General Manager (effective 1 st July, 2020)
Kwaku Owusu	Head, Human Resource (resigned, 25 th February, 2021)
Kenneth Adu-Siaw	Ag. Head, Finance
Alvin Omaboe	Head, BDU/Consumer Reporting Officer
Daniel Kwesi Mensah	Head, Credit
Kwabena Gyeke-Lartey	Head, Information Technology
Frank Bredu	Head, Internal Audit
Kingsley Opare Asare	Head, Banking Operations
Collins Asamoah	Ag. Head, Microfinance
Samuel Labi	Head, Corporate Support Department
Doreen Adu	Branch Manager, Mamfe
Monica Ndebugre Tuntieya	Branch Manager, Koforidua
Irene Anang-Tetteh	Branch Manager, Madina
Nana Dartey Bekoe	Ag. Branch Manager, Nsawam
Ebenezer Adjei	Branch Manager, Aburi
Edna Keteku Laryea	Branch Manager, Adukrom



There were two (2) agencies i.e. Larteh and Adawso at the date of this report.

By order of the Board of Directors

Name of Chairperson.....

Signature.....

Date.....

CONFIDENTIAL RESTRICTED FINAL DRAFT

**Independent Auditor's report
to the members of
Akuapem Rural Bank Limited**

Report on the audited financial statements

Opinion

In our opinion, Akuapem Rural Bank Limited has kept proper accounting records and the financial statements are in agreement with the records in all material respects and report in the prescribed manner, information required by the Companies Act, 2019 (Act 992), and the Banks and Specialised Deposit-Taking Institutions Act, 2016 (Act 930). The financial statements give a true and fair view of the financial position of the Bank as at 31 December, 2020, and of its financial performance and statement of cash flow for the year then ended and are drawn up in accordance with the International Financial Reporting Standards, issued by the International Accounting Standards Board (IASB).

What we have audited

We have audited the accompanying financial statements of the Akuapem Rural Bank Limited for the year ended 31 December, 2020.

The financial statements comprise:

- statement of comprehensive income for the year then ended;
- statement of financial position as at 31 December, 2020;
- statement of changes in equity for the year ended;
- statement of cash flows for the year then ended; and
- the notes to the financial statements, which include a summary of significant accounting policies.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

**Independent Auditor's report
to the members of
Akuapem Rural Bank Limited(continued)**

Independence

We are independent of the Bank within the meaning International Ethics Standards Board for Accountants' (IESBA) Code of Ethics for Professional Accountants as adopted by the Institute of Chartered Accountants Ghana (ICAG). We have fulfilled our other ethical responsibilities with IESBA Code.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key Audit Matters	How our audit addressed the key audit matter
Investment impairment	Our procedures included:
The Bank had significant amount of investment with Blackshield (formerly Gold Coast Fund Management) and Frontline Capital, with a total market value of GHS 6,038,230 and GHS 2,360,000 respectively which were locked-up. The Security and Exchange Commission on 8th November, 2019 revoked the licenses of these Fund Managers and consequently ceased to operate. These investment assets held by the Bank, have not been generating any economic benefit to the Bank since 2018. The Government of Ghana set GCB Capital to facilitate the process of the payment of locked up funds. The total validated claim for the repayment of these locked up fund stood at GHS 7,642,317. Representing 91.00% of the total market value of the locked up investment. A total amount of GHS 755,913 has not been validated. Impairing the total investments of GHS 8,398,230 would have resulted in a loss of GHS 6,999,861 and retained earnings of GHS (2,890,443). The Capital adequacy ratio would have been 5.55%, below the acceptable rate of 10%.	We enquired from management and those charged with governance about the current status of the locked up funds due to the indicators of impairment. We reviewed the Board minutes to apprise ourselves with the Board's views and obtain further understanding of the investment condition. We reviewed Bank of Ghana (BoG) onsite visit reports and other BoG correspondence with the Banks. The BoG directed that these investments should be impaired immediately. We engaged the Board of Directors on 4th May, 2021 to ensure these investments were validated. Share purchase agreement was executed on 5th May, 2021. Further, we obtained supporting documentations of all validated claims and performed procedures to test the accuracy of the amount involved. Claims yet to be validated were duly impaired which amounted to GHS 755,913.

Loan loss provision	Our procedures included:
The Bank carries out an impairment of its loans and advances in compliance with IAS 39 – Financial Instruments: Recognition and Measurement, which requires the amount of loss to be measured as the difference between the asset’s carrying amount and the present value of estimated future cash flows discounted at the loan asset’s original effective interest rate. The Bank reviews its loans and advances for impairment at the end of each reporting period. Due to the judgements made in the following areas; - Percentage of realization Years to realization - Emergence period Due to the significant judgements that are applied by management in determining whether an impairment loss has occurred, we considered this to be a key audit risk. In addition to specific provisions against individually impaired loans and advances, the Bank also makes a collective impairment against the remainder of the loans and advances in relation to which specific impairment losses have not been made. We focused on this area, since the determination of the amount of the collective provision is an estimation process which is based on historical loss experience and therefore involves significant judgment. The Bank is also required to compute loan provision in accordance with the Bank of Ghana (BOG) prudential guidelines. There is the risk of inappropriate classification of loans and advances in accordance with BOG’s guidelines that results in inaccurate loan impairment computations. The Bank is also required to make transfers from retained earnings to regulatory credit risk reserve based on the excesses of IFRS impairment and Bank of Ghana provision. The disclosures relating to impairment of loans and advances to customers which are included in notes to the financial statements are considered important to the users of the financial statements given the level of judgment and estimation involved.	We evaluated and tested the design, implementation and operating effectiveness of the key controls over the computation of impairment loss. In performing the tests of controls, we considered the appropriateness of the control considering the nature and significance of the risk, competence and authority of person(s) performing the control, frequency and consistency with which the control is performed. We performed an evaluation of management’s key assumptions over specific impairment calculation, including the calculation, methodology and the realizable value of collaterals and expected period of realization of the collaterals. We determined whether the short-term investments which were used as collaterals were suitably valued and up to the quantum of the loan amount and that the Bank had lien over the collaterals. We tested the adequacy of the collective loan loss provision by evaluating the assumptions and historical loss rates used by management in the calculation of the collective impairment provision. We considered geographic sectorial statistics and current economic and other relevant conditions, including changes in factors such as lending policies, nature and volume of the portfolio, volume and severity of recently identified impaired loans. We found that the assumptions used by management were comparable with historical performance and have been assessed as reasonable. We considered the disclosure of loan impairment to be appropriate and adequate. We further assessed also as appropriate the classifications of the Bank’s loans and advances in accordance with Bank of Ghana, prudential guidelines and the transfer of any excess provision over the IFRS computed provisions to the regulatory credit Risk Reserve.

**Independent Auditor's report
to the members of
Akuapem Rural Bank Limited(continued)**

Report on the audited financial statements (continued)

Other Information

The Directors are responsible for the other information. The other information comprises the Report of the Directors, including the Board Chairman's statement which we obtained prior to the date of this auditor's report. The other information does not include the financial statements, and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon. In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. Based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, if we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Going concern

The financial statements of the Bank have been prepared using the going concern basis of accounting. The use of this basis of accounting is appropriate unless management either intends to liquidate the Bank or to cease operations, or has no realistic alternative but to do so. As part of our audit of the financial statements, we have concluded that management's use of the going concern basis of accounting in the preparation of the Bank's financial statements is appropriate.

Management has not identified a material uncertainty that may cast significance doubt on the Bank's ability to continue as a going concern, and accordingly none is disclosed in the financial statements of the Bank. Based on our audit of the financial statements of the Bank, we also have not identified such a material uncertainty. However, neither management nor the auditor can guarantee the Bank's ability to continue as going concern.

Responsibilities of Directors for the financial statements

The Directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards (IFRSs), Companies Act, 2019 (Act 992), and the Banks and Specialised Deposit Taking Institutions Act, 2016 (Act 930). These responsibilities include designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error, selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances. The Directors are responsible for overseeing the Bank's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

The objectives of our audit are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatements, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the planning and performance of the audit. We also:

**Independent Auditor's report
to the members of
Akuapem Rural Bank Limited (continued)**

- Identify and assess the risks of material misstatements of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from the fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and based on the evidence obtained, whether a material uncertainty exists relating to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the Bank's financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- We communicate with the Audit Committee among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.
- We also provide a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards. From the matters communicated with the Audit Committee and the Directors, we determine those matters that were of most significance in the audit of the financial statements of the current year and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interests benefits of such communication.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities and business activities within the Bank to express an opinion on the financial statements. We are responsible for the direction, supervision and performance of the Bank audit. We remain solely responsible for our audit opinion.

**Independent Auditor's report
to the members of
Akuapem Rural Bank Limited (continued)**

Report on the audited financial statements (continued)

Other matter paragraph

We have nothing to report on other matters on which we are required to report except by below.

The Companies Act, 2019 (Act 992), requires that in carrying out our audit work we consider and report on the following matters. We confirm that:

1. We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
2. In our opinion proper books of account have been kept by the Bank, so far as appears from our examination of those books; and
3. The statement of financial position and statement of comprehensive income of the Bank are in agreement with the books of account.

In accordance with Section 85 (2) of the Banks and Specialised Deposit-Taking Institutions Act, 2016 (Act 930), we hereby confirm that:

1. The accounts give a true and fair view of the state of affairs of the Bank and its results of operations for the year under review;
2. We were able to obtain all the information and explanation required for the efficient performance of our duties as auditors;
3. The Bank's transactions were within its powers;
4. In our opinion, the Bank has generally complied with the provisions of the Anti-Money Laundering Act, 2008 (Act 749), the Anti-Terrorism Act, 2008 (Act 762) and the regulations enactments; and
5. The Bank has generally complied with the provisions in the Banks and Specialised Deposit-Taking Institutions Act, 2016 (Act 930).

The engagement partner on the audit resulting in this independent auditor's report is ***Emmanuel K.D. Abbey*** (ICAG/P/1167)

Signed by:

For and on behalf of:

UHY Voscon (ICAG/F/2021/086)

Chartered Accountants

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GA:-057-1475

Date

AKUAPEM RURAL BANK LIMITED
Financial statements for the year ended 31 December 2020
(All amounts are stated in Ghana cedis unless otherwise stated)

Statement of comprehensive income for the year ended 31 December	Note	2020	2019
Interest income	4	13,368,045	12,588,812
Interest expense	5	(2,233,419)	(2,804,206)
Net interest income		11,134,626	9,784,606
Commissions and fees	6	1,495,766	1,177,451
Other operating income	7	351,827	260,371
Total operating income		12,982,219	11,222,428
Other operating expenses	8	(11,303,957)	(10,775,153)
Impairment of loan	9	(260,118)	104,599
Impairment of investment		(755,913)	-
Profit/(loss) before taxation		662,231	551,874
Taxation	10.1	(325,228)	(103,597)
Profit/(loss) after taxation		337,003	448,277
Other comprehensive income		-	-
Revaluation surplus-equity investment		45,546	276,053
Total comprehensive income attributable to the shareholders		382,549	724,330
Earnings per share:			
Basic		0.321	0.468
Diluted*		0.321	0.468

**There were no compound financial instruments potentially convertible during the period under review*

The notes on pages 31 to 75 are integral part of these financial statements.

AKUAPEM RURAL BANK LIMITED
Financial statements for the year ended 31 December 2020
(All amounts are stated in Ghana cedis unless otherwise stated)

Statement of financial position
as at 31 December

		2020	2019
Assets	Notes		
Cash and bank balances	11	6,946,693	5,199,046
Short-term and trading investments	12	61,149,477	47,205,410
Equity investments	13	679,723	634,178
Loans and advances to customers	14	19,646,396	16,004,585
Other assets	17	2,445,767	1,472,733
Current tax	10.2	115,093	-
Property, plant and equipment	15.1	3,125,515	3,218,740
Intangible asset	16.1	364,585	299,166
Total assets		94,473,249	74,033,858
Equity			
Stated capital	18	2,153,013	2,153,013
Deposit for shares		47,510	46,626
Retained earnings		4,449,841	4,260,073
Revaluation reserve		681,431	635,885
Statutory reserve fund		2,828,773	2,786,648
Regulatory credit risk reserve		87,510	87,510
Total equity		10,248,078	9,969,755
Liabilities			
Customer deposits	20	80,538,505	61,782,671
Current tax	10.2	-	103,214
Deferred tax	10.3	188,381	123,060
Payables and accruals	21	2,066,681	866,780
Dividend payable	22	804,008	814,704
Long-term borrowing	24	627,596	373,674
Total liabilities		84,225,171	64,064,103
Total equity and liabilities		94,473,249	74,033,858

The notes on pages 31 to 75 are integral part of these financial statements. These financial statements were approved by the Board and signed on their behalf by:

Name of Director..... Name of Director.....

Signature..... Signature.....

Date..... Date.....

AKUAPEM RURAL BANK LIMITED
Financial statements for the year ended 31 December 2020
(All amounts are stated in Ghana cedis unless otherwise stated)
Statement of changes in equity

For the year end 31 December, 2020	Note	Stated capital	Deposit for shares	Retained earnings	Statutory reserve	Revaluati on reserve	Credit reserve	Total
Balance as at 1 January		2,153,013	46,626	4,260,073	2,786,648	635,885	87,510	9,969,755
Prior year adjustment	38			174,956				174,956
Balance as restated		2,153,013	46,626	4,435,029	2,786,648	635,885	87,510	10,144,711
Write off	39			(280,066)				(280,066)
Net profit or loss				337,003				337,003
Proceeds from issue of shares			884					884
Revaluation reserve						45,546		45,546
Transfer to statutory reserve				(42,125)	42,125			
Balance at 31 December		2,153,013	47,510	4,449,841	2,828,773	681,431	87,510	10,248,078

The notes on pages 31 to 75 are integral part of these financial statements.

AKUAPEM RURAL BANK LIMITED**Financial statements for the year ended 31 December 2019***(All amounts are stated in Ghana cedis unless otherwise stated)***Statement of changes in equity**

For the year end 31 December, 2019	Stated capital	Deposit for shares	Retained earnings	Statutory reserve	Revaluation reserve	Credit reserve	Total
Balance as at 1 January	2,153,013	46,626	4,802,652	2,730,613	359,832	87,510	10,180,246
Prior year adjustment			(456,340)				(456,340)
Balance as restated	2,153,013	46,626	4,346,312	2,730,613	359,832	87,150	9,723,906
Net profit or loss			448,277				448,277
Dividend payable			(478,481)		-		(478,481)
Revaluation reserve					276,053		276,053
Transfer to statutory reserve			(56,035)	56,035	-		-
Balance at 31 December	2,153,013	46,626	4,260,073	2,786,648	635,885	87,510	9,969,755

The notes on pages 31 to 75 are integral part of these financial statements.

AKUAPEM RURAL BANK LIMITED
Financial statements for the year ended 31 December 2020
(All amounts are stated in Ghana cedis unless otherwise stated)

Statement of cash flow for the year ended 31 December	Notes	2020	2019
Cash flows from operating activities			
Cash generated from/ (used in) operations	23	2,692,813	1,226,369
Tax paid		(478,214)	(167,863)
Net cash generated from operating activities		2,214,599	1,058,506
Cash flows from investing activities			
Purchase of property, plant and equipment		(654,726)	(265,466)
Purchase of intangible assets		(56,337)	(294,593)
Proceeds from sale of fixed assets		-	1,661
Net cash used in investing activities		(711,063)	(558,398)
Financing activities			
Proceeds from issue of shares		-	-
Deposit for shares		884	46,626
Long-Term Borrowing		253,922	373,675
Dividend paid		(10,695)	(410,197)
Net Cash flow from financing activities		244,111	(10,104)
Increase in cash and cash equivalents		1,747,647	510,212
Cash and cash equivalents at the beginning of the year		5,199,046	4,688,834
Cash and cash equivalents at the end of the year	11	6,946,693	5,199,046
Analysis of cash and cash equivalents			
Cash on hand		2,119,828	1,664,390
Bank balances		4,826,865	3,534,656
At year end		6,946,693	5,199,046

The notes on pages 31 to 75 are integral part of these financial statements.

AKUAPEM RURAL BANK LIMITED

Financial statements for the year ended 31 December 2020

(All amounts are stated in Ghana cedis unless otherwise stated)

Notes and significant accounting policies (continued)

1.0 Reporting entity

Akuapem Rural Bank Limited (ARB Ltd) formerly Akwapim Rural Bank was incorporated under the Companies Act, 1963, (Act 179) on 18th May 1978 and issued with certificate to commence business on 30th July, 1980. The Bank was officially commissioned on 29th August, 1980.

Akuapem Rural Bank Limited is domiciled in Ghana and headquartered at Mamfe- Akuapem with its registered address opposite Mamfe lorry station in the Akuapem North Minicipal Assembly, in the Eastern Region of Ghana. Akuapem Rural Bank is regulated under the Banks and Specialised Deposit- Taking Institutions Act, 2016 (Act 930).

1.1 Principal activity

The nature of business which the bank is authorised to carry out is banking services.

2.1 Basis of preparation

2.1.1 Statement of compliance

The financial statements of Akuapem Rural Bank Limited have been prepared in accordance with International Financial Reporting Standards as issued by the International Financial Reporting Standards (IFRSs) issued by the International Accounting Standards Board (IASB) and Interpretations issued by the International Financial Reporting Interpretations Committee (IFRIC) and in the manner required by the Companies Act, 2019 (Act 992), and the Banks and Specialised Deposit Taking Institutions Act, 2016 (Act 930).

2.1.2 Approval of the audited financial statements

The financial statements were approved by the Board of Directors on the date signed under the financial position.

2.1.3 Basis of presentation of the financial statements

The Bank presents its statement of financial position broadly in order of liquidity. Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position only when there is a current legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not offset in profit or loss unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies of the bank.

2.1.4 Basis of measurement

The financial statements have been prepared under the historical cost convention as modified to include the fair valuation of certain financial instruments to the extent required or permitted under the Bank's accounting policies and set out below.

2.1.5 Functional and presentation currency

These financial statements are presented in Ghana Cedis (GH¢), which is the Bank's functional currency.

AKUAPEM RURAL BANK LIMITED**Financial statements for the year ended 31 December 2020*****(All amounts are stated in Ghana cedis unless otherwise stated)*****Notes and significant accounting policies (continued)****2.1.6 Use of estimates and judgments**

In the process of applying the Bank's accounting policies, management has exercised judgment and estimates in determining the amounts recognised in the financial statements. The most significant uses of judgment and estimates are as follows:

2.1.6.1 Going concern

The Bank's management has made an assessment of the Bank's ability to continue as going concern and is satisfied that the Bank has the resources to continue in business for the foreseeable future. Furthermore, management is not aware of any material uncertainties that may cast significant doubt upon the Bank's ability to continue as a going concern. Therefore, the financial statements continue to be prepared on the going concern basis.

2.1.6.2 Impairment losses on loans and advances

The Bank reviews its individually significant loans and advances at each reporting date to assess whether an impairment loss should be recorded in profit or loss. In particular, management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors described in the next paragraph and actual results may differ, resulting in future changes to the allowance.

Loans and advances that have been assessed individually and found not to be impaired and all individually insignificant loans and advances are then assessed collectively, in groups of assets with similar risk characteristics, to determine whether the provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident. The collective assessment takes account of data from the loan portfolio (such as levels of arrears, credit utilization, loan-to-collateral ratios, etc.), and judgments on the effect of concentrations of risks and economic data (including levels of unemployment, real estate prices indices, country risk and the performance of different individual groups).

2.1.6.3 Deferred tax assets

Deferred tax assets are recognized in respect of tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilized. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax-planning strategies. Tax losses can be used indefinitely.

2.1.6.4 Property, plant and equipment

Critical estimates are made by Directors in determining depreciation rates for property, plant and equipment.

2.2 Summary of significant accounting policies

The accounting policies set out below have been applied consistently to all periods presented in these financial statements, and have been applied consistently by the Bank.

AKUAPEM RURAL BANK LIMITED

Financial statements for the year ended 31 December 2020

(All amounts are stated in Ghana cedis unless otherwise stated)

Notes and significant accounting policies (continued)

2.3 Foreign currency transactions

Assets and liabilities expressed in foreign currencies are translated into Ghana Cedis at the rates of exchange ruling at the reporting date. Transactions during the year are translated at the rates ruling at the dates of the transactions. Gains or losses on exchange if any are recognized in the profit and loss.

Transactions in foreign currencies are initially recorded by the Bank at their respective functional currency spot rates at the date the transaction first qualifies for recognition.

Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency spot rates of exchange at the reporting date. Differences arising on settlement or translation of monetary items are recognised in profit or loss.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates at the dates of the initial transactions.

2.4 Revenue, interest income, fee and commission income and dividend income

2.4.1 Revenue recognition

The Bank recognizes revenue in the financial statements on the accrual basis when the amount of revenue can be reliably measured and it is probable that future economic benefits will flow to the entity and when specific criteria have been met for each of the Bank's activities. The Bank bases its estimates on historical results, taking into consideration the type of customer, the type of transaction and the specifics of each arrangement.

2.4.1.1 Interest income

Interest income, including income arising from loans and advances and other financial instruments are recognized in the statement of profit or loss using the effective interest method.

The effective interest method is a method of calculating the amortized cost of a financial asset. The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter year to the net carrying amount of the financial asset. When calculating the effective interest rate, the Bank estimates cash flows considering all contractual terms of the financial instrument (for example, prepayment options) but does not consider future credit losses. The calculation includes all fees and points paid or received between parties to the contract that are an integral part of the effective interest rate, transaction costs and all other premiums or discounts.

Once a financial asset or a group of similar financial assets has been written down as a result of an impairment loss, interest income is recognized using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The recognition of interest income ceases when the payment of interest or principal is in doubt. Interest is included in income thereafter only when it is received. Loans are re-evaluated on the accrual basis only when doubts about their collectability are removed and when the outstanding arrears of interest and principal are received.

AKUAPEM RURAL BANK LIMITED

Financial statements for the year ended 31 December 2020

(All amounts are stated in Ghana cedis unless otherwise stated)

Notes and significant accounting policies (continued)

2.4.1.2 Fee and commission income

Fees and commissions are generally recognized on an accrual basis when the service is provided. Commission and fees arising from negotiation or participation in the negotiation of a transaction such as the arrangement for a loan are recognized upon completion of the underlying transaction. The Bank earns commissions and fees from a range of services provided to its customers. Income earned on customer's current account (commission on turnover) is recognized when the services are provided.

Commissions and facility fees are credited to income when earned with reasonable certainty and in the case of facility fees, in the year in which the related loan is granted.

2.4.1.3 Dividend income

Dividend income on shares held by the Bank are recognized in the statement of profit or loss in 'dividend income' when the Bank's right to receive payment is established. Additional income taxes that arise from the distribution of dividends are recognized at the same time as the liability to pay the related dividend is recognized.

2.5 Interest expense

Interest expense is recognized in the profit or loss for all interest-bearing financial instruments measured at amortized cost, this include savings and fixed term using the effective interest rate method.

The effective interest method is a method of calculating the amortized cost of a financial liability and of allocating the interest expenses. The effective interest rate is the rate that exactly discounts the estimated future cash payments over the expected life of the instrument or where appropriate, a shorter year to the net carrying amount of the financial liability

The effective interest rate is calculated on initial recognition of the financial liability, estimating the future cash flows after considering all the contractual terms of the instrument.

2.6 Administration, general and other operating expenses

These expenses are recognized when incurred not when paid.

2.7 Cash and cash equivalents

Cash and cash equivalents include notes and coins on hand, unrestricted balances held with ARB Apex Bank Limited and highly liquid financial assets with original maturities of less than three months, which are subject to insignificant risk of changes in their fair value, and are used by the Bank in the management of its short-term commitments. Cash and cash equivalents are carried at amortized cost or fair values in the statement of financial position depending on the business model for managing the asset or the cash flow characteristics of the asset.

AKUAPEM RURAL BANK LIMITED

Financial statements for the year ended 31 December 2020

(All amounts are stated in Ghana cedis unless otherwise stated)

Notes and significant accounting policies (continued)

2.8 Financial assets and liabilities

2.8.1 Date of recognition

The Bank initially recognizes financial assets and financial liabilities on the trade date. i.e., the date that the Bank becomes a party to the contractual provisions of the instrument.

2.8.2 Initial measurement of financial instruments

The classification of financial instruments at the initial recognition depends on the purpose and management's intention for which the financial instruments were acquired and their characteristics.

All financial instruments are measured initially at their fair value plus transaction costs, except in the case of financial assets and financial liabilities recorded at fair value through profit or loss.

2.8.2.1 Financial assets or financial liabilities held for trading

Financial assets or financial liabilities held for trading are recorded in the statement of financial position at fair value. Changes in fair value are recognized in net interest income.

The Bank has not designated any financial instrument as held for trading.

2.8.2.2 Financial assets or financial liabilities designated at fair value through profit or loss

Financial assets and financial liabilities classified in this category are those that have been designated by management on initial recognition. Management may only designate an instrument at fair through profit or loss upon initial recognition when the following criteria are met, and designation is determined on an instrument basis.

The designation eliminates or significantly reduces the inconsistent treatment that would otherwise arise from measuring the assets or liabilities or recognizing gains or losses on them on a different basis.

The assets and liabilities are part of the bank's financial assets, financial liabilities, or both which are managed and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy.

The financial instrument contains one or more embedded derivatives which significantly modify the cash flows that otherwise would be required by the contract.

Financial assets and financial liabilities at fair value through profit or loss are recorded in the statement of financial position at fair value. Changes in fair value are recorded in profit or loss. The Bank has not designated any financial instrument as fair value through profit or loss.

AKUAPEM RURAL BANK LIMITED

Financial statements for the year ended 31 December 2020

(All amounts are stated in Ghana cedis unless otherwise stated)

Notes and significant accounting policies (continued)

2.8.2.3 Held to maturity financial instruments

Held to maturity financial investments are non-derivative financial assets with fixed or determinable payments and fixed maturities, which the Bank has the intention and ability to hold to maturity.

After initial measurement, held to maturity financial investments are subsequently measured at amortized cost using the effective interest rate method (EIR), less impairment.

Amortized cost is calculated by taking into account any discount or premium on acquisition and fees that are an integral part of the EIR. The amortization is included in interest and similar income in profit or loss. If the Bank were to sell or reclassify more than an insignificant amount of held to maturity investments before maturity (other than in certain specific circumstances), the entire category would be tainted and would be reclassified as available for sale.

Furthermore, the Bank would be prohibited from classifying any financial asset as held to maturity during the following two years.

2.8.2.4 Loans and advances

Loans and advances to customers includes loans and advances to customers originated by the Bank which are not classified as held for trading or designated at fair value. Loans and advances are recognized when cash is advanced to the borrower. They are derecognized either when the borrower repay their obligations or are written off.

They are initially recognized at fair value plus and they are initially recognized at fair value plus any directly attributable transaction cost and are subsequently measured at amortized cost using the effective interest rate method less impairment loss.

2.9 Framework for impairment of financial assets

At each reporting date, the Bank assesses whether, as a result of one or more events (loss event) occurring after initial recognition, there is objective evidence that financial assets or group of financial assets has become impaired.

Evidence of impairment may include indications that the borrower or group of borrower or group of borrowers is experiencing significant financial difficulty, default or delinquency in interest or principal payments, or the fact that the debt is being restructured to reduce the burden on the borrower.

2.9.1 Impairment of financial assets

The Bank makes an allowance for unrecoverable loans and receivables, held to maturity investments and available for sale financial assets when there is an objective evidence that the carrying amount may not be recoverable. Significant management judgment is required to determine when objective evidence of impairment exists, and also in estimating future cash flows from the assets.

AKUAPEM RURAL BANK LIMITED

Financial statements for the year ended 31 December 2020

(All amounts are stated in Ghana cedis unless otherwise stated)

Notes and significant accounting policies (continued)

2.9.2 Impairment of financial assets carried at amortized cost

For financial assets carried at amortized cost, the Bank first assesses individually whether objective evidence of impairment exists for financial assets that are individually significant, or collectively for financial assets that are not individually significant. If the Bank determines that no objective evidence of impairment exists for an individually assessed financial asset, it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognized are not included in a collective assessment of impairment.

If there is objective evidence that an impairment loss has been incurred, the amount of the loss is measured as the difference between the assets carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not yet been incurred). The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognized in the profit and loss.

Interest income continues to be accrued on the reduced carrying amount and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

The interest income is recorded as part of 'Interest and similar income. Loans together with the associated allowance are written off when there is no realistic prospect of future recovery and all collateral has been realized or has been transferred to the Bank. If, in a subsequent year, the amount of the estimated impairment loss increases or decreases because of an event occurring after the impairment was recognized, the previously recognized impairment loss is increased or reduced by adjusting the allowance account. If a future write-off is later recovered, the recovery is credited to the 'Credit loss expense'

2.9.3 Impairment of available for sale investments

If there is objective evidence that the cost may not be recovered, an available-for-sale equity security is considered to be impaired.

Objective evidence that the cost may not be recovered, in addition to qualitative impairment criteria, includes a significant or prolonged decline in the fair value below cost

If an available-for-sale equity security is impaired based upon the Bank's qualitative or quantitative impairment criteria, any further declines in the fair value at subsequent reporting dates are recognized as impairments. Therefore, at each reporting period, for an equity security that is determined to be impaired based upon the Bank's impairment criteria, an impairment is recognized for the difference between the fair value and the original cost basis, less any previously recognized impairments.

AKUAPEM RURAL BANK LIMITED

Financial statements for the year ended 31 December 2020

(All amounts are stated in Ghana cedis unless otherwise stated)

Notes and significant accounting policies (continued)

2.10 De-recognition of financial assets

2.10.1 Financial assets

A financial asset (or, where applicable a part of a financial asset or part of similar financial assets) is derecognized when:

The rights to receive cash flows from the asset have expired.

The Bank has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under 'pass through' arrangement; and either the Bank has transferred substantially all the risks and rewards of the assets, or the Bank has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Bank has transferred its right to receive cash flows from an asset or has entered into a 'pass through' arrangement, and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the Bank's continuing involvement in the asset. In that case, the Bank also recognizes an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Bank has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Bank could be required to repay.

2.10.2 Financial liabilities

A financial liability includes due to customers, other liabilities and interest payable are derecognized when the obligation under the liability is discharged or cancelled or expires.

Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a de-recognition of the original liability and the recognition of a new liability.

The difference between the carrying value of the original financial liability and the consideration paid is recognized in profit or loss.

The Bank enters into transactions whereby it transfers assets recognized on its balance sheet, but retains all risks and rewards of the transferred assets or a portion of them. If all or substantially all risks and rewards are retained, then the transferred assets are not derecognized from the balance sheet. Transfers of assets with retention of all or substantially all risks and rewards include, for example, securities lending and repurchase transactions.

AKUAPEM RURAL BANK LIMITED

Financial statements for the year ended 31 December 2020

(All amounts are stated in Ghana cedis unless otherwise stated)

Notes and significant accounting policies (continued)

2.11 Offsetting

Financial assets and liabilities are set off and the net amount presented in the statement of financial position when, and only when, the Bank currently has a legally enforceable right to set off the amounts and intends either to settle on a net basis or to realize the asset and settle the liability simultaneously.

Income and expenses are presented on a net basis only when permitted by the accounting standards, or for gains and losses arising from a group of similar transactions such as in the Bank's trading activity.

2.12 Renegotiated loans

Where possible, the Bank seeks to restructure loans rather than to take possession of collateral. This may involve extending the payment arrangements and the agreement of new loan conditions. Once the terms have been renegotiated any impairment is measured using the original EIR as calculated before the modification of terms and the loan is no longer considered past due. Management continually reviews renegotiated loans to ensure that all criteria are met and that future payments are likely to occur. The loans continue to be subject to an individual or collective impairment assessment, calculated using the loan's original effective interest rate.

2.13 Fair value measurement

The Bank measures financial instruments, such as, available for sale financial assets at fair value. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible to by the Bank. The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest. A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use. The Bank uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

2.14 Income tax expense

Income tax expense comprises current and deferred tax. Income tax expense is recognised in the profit or loss except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity.

AKUAPEM RURAL BANK LIMITED

Financial statements for the year ended 31 December 2020

(All amounts are stated in Ghana cedis unless otherwise stated)

Notes and significant accounting policies (continued)

2.14.1 Current tax

Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantively enacted at the statement of financial position date, and any adjustment to tax payable in respect of previous years.

2.14.2 Deferred tax expense

Deferred tax is provided using temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for the following temporary differences: the initial recognition of goodwill, the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit, and differences relating to investments in subsidiaries to the extent that they probably will not reverse in the foreseeable future. Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognized only to the extent that it is probable that future taxable profits will be available against which the asset can be utilized. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

2.15 Provisions

Provisions are recognized when the Bank has:

- a present obligation (legal or constructive) as a result of a past event,
- and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation,
- And a reliable estimate can be made of the amount of the obligation.

The amount of a provision is the present value of the expenditure to be required to settle the obligation. Where some or all of the expenditure required to settle a provision is expected to be reimbursed by another party, the reimbursement shall be recognised when, and only when, it is virtually certain that the reimbursement will be received if the entity settles the obligation. The reimbursement shall be treated as a separate asset. The amount recognised for the reimbursement shall not exceed the amount of the provision.

Provisions are not recognised for future operating losses. If an entity has a contract that is onerous, the present obligation under the contract shall be recognised and measured as a provision. Contingent assets and contingent liabilities are not recognised in the financial statements. Contingencies are disclosed in the notes to these financial statements if the probability of the required cash inflow to be received or cash outflow to discharge the obligation is possible.

AKUAPEM RURAL BANK LIMITED

Financial statements for the year ended 31 December 2020

(All amounts are stated in Ghana cedis unless otherwise stated)

Notes and significant accounting policies (continued)

2.15.1 Provision for restructuring/reorganization

A restructuring or reorganization is a programme that is planned and controlled by management which will materially change the scope and manner in which the business is conducted e.g. the termination or sale of business. A provision for restructuring can only be recognized if there is a constructive obligation which is established if the following conditions are met:

- There is a detailed formal plan that identifies the part of the business, location and employees who will be affected by the restructuring
- A valid expectation has been created to those who will be affected by the restructuring. Provision for restructuring is made if a constructive obligation exists before the end of the financial year. However, if the constructive obligation arises after year end, and the provision is material, the material effect is disclosed in the financial statements in accordance with IAS 10.

Restructuring provision cost include direct expenditures that will be incurred because of the restructuring and excludes any cost associated with ongoing activity of the entity. E.g. training of staff, relocation of staff, marketing and investment in new machinery

2.16 Employee benefits

2.16.1 Short term employment benefits

The cost of short-term employee benefits, (those payable within 12 months after the service is rendered, such as paid vacation leave and sick leave, bonuses, and non-monetary benefits such as medical care) are recognised in the year in which the service is rendered and are not discounted.

2.16.2 Leave benefits

Annual leave is provided in the period that the leave accrued and outstanding leave is not converted to cash and no provision is made and recognised in the statement of profit or loss.

The expected cost of profit sharing and bonus payments is recognised as an expense when there is a legal or constructive obligation to make such payments as result of past performance.

2.16.3 Social security contributions

A defined contribution plan is a pension plan under which the Bank pays fixed contributions into a separate entity. The Bank contributes to the defined contribution schemes (the Social Security Fund) on behalf of employees. This is a national pension scheme under which the Bank pays 13% of qualifying employees' basic monthly salaries to a state managed Social Security Fund for the benefit of the employees.

The Bank has no legal or constructive obligations to pay further contributions if the fund does hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior years.

Payments to defined contribution retirement benefits plans are charged as an expense as they fall due.

AKUAPEM RURAL BANK LIMITED

Financial statements for the year ended 31 December 2020

(All amounts are stated in Ghana cedis unless otherwise stated)

Notes and significant accounting policies (continued)

2.16.4 Other employee benefits- Provident fund

The Bank has a provident fund scheme for all permanent employees with the Bank. Employees of the Bank contribute 7.5% of their basic salary to the fund while the Bank contributes 7.5%. Obligations under the scheme are limited to the relevant contributions made and any related investment income generated.

2.16.5 Retirement benefits

Retirement benefits shall be determined by the Board or as provided under the Banks Conditions of Service and also the rule governing the operation of the provident fund scheme.

2.16.6 Termination benefits

Termination benefits are recognized as an expense when the Bank is demonstrably committed, without realistic possibility of withdrawal, to a formal detailed plan to terminate employment before the normal retirement date. Termination benefits for voluntary redundancies are recognized if Bank has made an offer encouraging voluntary redundancy, it is probable that the offer will be accepted, and the number of acceptances can be estimated reliably.

2.17 Inventories

Inventories are initially measured at cost. Cost of inventories are measured using the weighted average method. Subsequently inventories are measured at the lower of cost and net realizable value.

Net realizable value is the estimated selling price in the ordinary course of business less the estimate costs of completion and the estimated costs necessary to make the sale.

Cost of inventories comprises of all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition. The inventories are stationeries of the Bank.

2.18 Share capital and equity

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Ordinary shares are classified as part of equity.

AKUAPEM RURAL BANK LIMITED

Financial statements for the year ended 31 December 2020

(All amounts are stated in Ghana cedis unless otherwise stated)

Notes and significant accounting policies (continued)

2.19 Borrowing cost

Borrowing cost deals with the capitalization of interest cost and funds used in the construction, production and acquisition of a qualifying asset. IAS 23 allows borrowing cost to be capitalized if it relates to the production of a qualifying asset. Qualifying asset that takes a substantial year of time to get the asset ready for its intended use or eventual sale. A qualifying asset can be tangible or intangible asset. Borrowing costs are interest and other costs (finance lease charges, exchange differences) that an entity incurs in connection with the borrowing of funds. The following conditions must be met before the capitalization of borrowing cost;

- The borrowing cost capitalized should relate to the cost incurred on the project.
- The borrowing cost capitalized cannot exceed the total cost for the year
- Borrowing cost capitalized should commence when the expenditure on the project is being incurred and undertakes activity necessary to prepare the asset for its use or eventual sale which is not necessary from the date the funds are borrowed. The activities necessary to prepare the asset for its intended use or sale encompass more than the physical construction of the asset.
- They include technical and administrative work prior to the commencement of physical construction, such as the activities associated with obtaining permits prior to the commencement of the physical construction
- Borrowing cost capitalized should cease when the asset is ready for its intended use or eventual sale.
- Borrowing cost capitalized should be suspended in the year of inactivity or no active development of the qualifying asset.

Borrowing cost does not apply to inventories manufactured on large quantities on a repetitive basis. Borrowing costs that do not meet the capitalization criteria must be expensed into the income statement. Borrowing costs cannot be capitalized for assets measured at fair value. The interest rate for the borrowing cost is the effective rate which incorporates amortization for discounts, premium and other expenses like issue costs. Any investment income from the temporal investment of the funds for the construction or purchase of the qualifying assets during the construction year should be net against the borrowing cost eligible to be capitalized.

Any investment income during year of inactivity in the construction year will be credited to the income statement separately. Any investment income outside the construction year will be credited to the income statement separately.

2.20 Related parties

Related parties are individuals and companies, where the individual and the Bank have the ability directly or indirectly, to control the other party or exercise significant influence on the other party in making financial and operating decisions. Related party transactions and balances are disclosed in the notes to the financial statements.

AKUAPEM RURAL BANK LIMITED

Financial statements for the year ended 31 December 2020

(All amounts are stated in Ghana cedis unless otherwise stated)

Notes and significant accounting policies (continued)

2.21 Property, plant and equipment

The Bank recognizes an item of property, plant and equipment as an asset when it is probable that future economic benefits will flow to it, the amount meets the materiality threshold set by the Bank, and can be reliably measured.

All property, plant and equipment are initially stated at cost. Cost includes amount incurred initially to acquire or construct an item of property, plant and equipment and expenditure that is directly attributable to the acquisition or construction of the asset.

Subsequent expenditures are included in the asset's carrying amount or are recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Bank and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognized. All other repair and maintenance costs are charged to profit or loss during the financial year in which they are incurred.

Land is not depreciated. Depreciation of other assets is calculated using the straight-line method to allocate their cost to their residual values over their estimated useful lives, as follows:

Class of asset	Estimated Useful life
Computers and accessories	25%
Office equipment	25%
Motor vehicles	20%
Furniture and fittings	20%
Building	5%
Generator	10%
Leasehold improvement	10%
Intangible	25%

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting year. Assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount. The recoverable amount is the higher of the asset's fair value less costs to sell and value in use. No property and equipment were impaired as at 31 December 2020 (2019: nil).

Gains and losses on disposals are determined by comparing proceeds with carrying amount. These are included in the income statement.

AKUAPEM RURAL BANK LIMITED

Financial statements for the year ended 31 December 2020

(All amounts are stated in Ghana cedis unless otherwise stated)

Notes and significant accounting policies (continued)

2.22 Impairments of assets and other non-financial assets

The Bank assesses at each end of the reporting year whether there is any indication that an asset may be impaired. If any such indication exists, that an asset may be impaired, the recoverable amount is estimated for the individual asset. If it is possible to estimate the recoverable amount of the individual asset, the recoverable amount of the Cash-Generating Unit (CGU) to which the asset belongs is determined. The recoverable amount of a cash generating unit is the higher of its fair value less costs to sell and its value in use. If the recoverable amount of an asset is less than its carrying amount, the carrying amount of the asset is reduced to its recoverable amount. This reduction is an impairment loss.

An impairment loss of assets carried at cost less than any accumulated depreciation or amortization is recognised immediately in profit or loss. Any impairment loss of a revalued asset is treated as a downward revaluation.

A reversal of an impairment loss of assets carried at cost less accumulated depreciation or amortization other than goodwill is recognised immediately in profit or loss. Any reversal of an impairment loss of a revalued asset is treated as an upward revaluation.

2.23 Earnings per Share

Basic earnings per share (EPS) is calculated by dividing the profit after tax for the year attributable to equity holders of the Bank by the weighted average number of ordinary shares outstanding during the year.

3.1 Standards, amendments and interpretations not yet adopted

Accounting standards, interpretations, and amendments effective for accounting years beginning on or after 1 January, 2018.

IFRS 9 Financial Instruments

The Bank had not adopted IFRS 9, Financial Instruments which supersedes IAS 39 Financial Instruments: Recognition and Measurement. IFRS 9 includes revised guidance on the classification and measurement of financial assets and liabilities, new guidance for measuring impairment on financial assets, and new hedge accounting guidance.

In accordance with transitional requirements, the Bank has not restated prior periods and had not reclassified the financial assets held at 1 January, 2018, retrospectively based on the new classification requirements and the characteristics of each financial instrument as at the transition date.

Classification and measurement of financial instruments

Under IFRS 9, financial assets are classified and measured based on the business model which they are held and the characteristics of their contractual cash flows. IFRS 9 contains three primary measurement categories for financial assets: measured at amortised cost, fair value through other comprehensive income (FVTOCI), and Fair value through profit or loss (FVTPL).

AKUAPEM RURAL BANK LIMITED

Financial statements for the year ended 31 December 2020

(All amounts are stated in Ghana cedis unless otherwise stated)

Notes and significant accounting policies (continued)

Impairment of financial assets

IFRS 9 replaces the incurred loss model in IAS 39 with an expected credit loss (ECL) model. This applies to financial assets classified at amortised cost and debt instruments classified at FVTOCI. Under IFRS 9, credit losses are recognised earlier than under IAS 39. IFRS 9 requires the Bank to record expected credit losses on all of its debt securities, loans and trade receivables, either on a 12-month or lifetime basis.

Disclosure

Amendments were also made to IFRS 7 introducing expanded qualitative and quantitative disclosure related to IFRS 9.

IFRS 15 Revenue from Contracts with Customers

IFRS 15 Revenue from Contracts with Customers IFRS 15 is effective from 1 January 2018, and replaces IAS 18 Revenue. IFRS 15 is conceptually similar to IAS 18, but includes more granular guidance on how to recognise and measure revenue, and also introduces additional disclosure requirements. The Bank has not performed an assessment of the new standard on the operations related to the revenue of Akuapem Rural Bank. IFRS 15 replaces the below standards and interpretation:

- IAS 11 Construction contracts
- IAS 18 Revenue
- IFRIC 13 Customer Loyalty Programmes
- IFRIC 15 Agreements for the Construction of Real Estate
- IFRIC 18 Transfers of Assets from Customers
- SIC-31 Revenue - Barter Transactions Involving Advertising Services

Disclosures

The disclosure objective stated in IFRS 15 is for an entity to disclose sufficient information to enable users of financial statements to understand the nature, amount, timing and uncertainty of revenue and cash flows arising from contracts with customers. Therefore, an entity should disclose qualitative and quantitative information about all of the following:

- its contracts with customers;
- the significant judgments, and changes in the judgments, made in applying the guidance to those contracts; and
- any assets recognised from the costs to obtain or fulfil a contract with a customer.

Entities will need to consider the level of detail necessary to satisfy the disclosure objective and how much emphasis to place on each of the requirements. An entity should aggregate or disaggregate disclosures to ensure that useful information is not obscured.

AKUAPEM RURAL BANK LIMITED**Financial statements for the year ended 31 December 2020***(All amounts are expressed in Ghana Cedis unless otherwise stated)***Notes and significant accounting policies (continued)**

4. Interest income	2020	2019
Interest on loans	5,998,011	5,916,570
Interest on overdraft	545,661	538,720
Interest on investment	6,824,373	6,133,522
	13,368,045	12,588,812
5. Interest expense	2020	2019
Interest on deposit liabilities	1,746,227	1,946,594
Interest on savings	482,708	857,612
Interest on term borrowing	4,484	-
	2,233,419	2,804,206
6. Commission and fees income	2020	2019
Commission on turnover	995,916	787,637
Commitment fees	460,003	360,266
Cheque clearing fees	39,847	29,548
	1,495,766	1,177,451
7. Other operating income	2020	2019
Processing fees	75,536	54,482
Profit on disposals	-	1,661
Sundry income	276,291	204,228
	351,827	260,371

AKUAPEM RURAL BANK LIMITED**Financial statements for the year ended 31 December 2020***(All amounts are expressed in Ghana Cedis unless otherwise stated)***Notes and significant accounting policies (continued)**

8. Operating expenses	2020	2019
Staff costs (8.a)	6,475,106	6,460,730
Depreciation	720,327	681,784
Directors' remuneration	151,366	106,979
Audit fees	35,438	35,438
Other operating expenses (8.b)	3,921,720	3,490,223
	11,303,957	10,775,153

8.a. Staff related cost	2020	2019
Salaries	3,072,593	2,474,853
Employer's social security fund	396,838	593,373
Employer's provident fund	217,093	234,873
Staff training and development	131,602	59,048
Staff medical	168,662	153,019
Other staff allowances	2,277,349	2,945,564
Bonus	210,969	-
	6,475,106	6,460,730

8.b. General and administration expenses	2020	2019
Board meeting expenses	20,895	30,923
Travelling expenses	80,561	44,174
Audit expenses	25,844	43,695
Legal fees	35,780	38,806
Professional Charges	-	3,189
Printing and stationery	152,052	164,685
Repairs and maintenance	257,289	142,990
Postage, telephone and telegraph	60,841	42,572
Insurance	252,785	89,156
Utilities	245,789	304,367
Advertising and publicity expenses	18,966	21,794
Subscription/periodicals	75,052	50,329
AGM Expenses	59,067	71,355
Rent and rate	283,833	226,627
Donation/Community development	34,752	7,290
Computerization expenses	304,894	302,597
Interest on Borrowing	1,388	4,804
Other expenses (8c)	2,011,932	1,900,870
	3,921,720	3,490,222

AKUAPEM RURAL BANK LIMITED**Financial statements for the year ended 31 December 2020*****(All amounts are expressed in Ghana Cedis unless otherwise stated)*****Notes and significant accounting policies (continued)**

8.c. Other expenses	2020	2019
Specie Expenses	29,608	34,512
Bank Charges	1,676	3,345
Till Shortages/ excess	(1,301)	(189)
Recovery Expenses	1,127	-
Office Expenses	90,205	42,858
Police/ Security Expenses	308,949	293,131
Donations-funerals	10,420	12,450
Motor Vehicle Running Expenses	118,927	182,651
Repairs & Maintenance- M.V	102,073	79,185
Micro Finance Expenses	259,301	284,244
Cleaning Expenses	174,134	148,127
Other Expenses	38,117	53,972
Marketing & Promotional Expenses	114,763	81,435
Generator Running Expenses	19,700	32,832
Susu Expenses	735,108	637,070
Entertainment expenses	9,126	15,246
	2,011,932	1,900,870
9. Impairment	2020	2019
Balance b/f	470,819	575,418
Loans written off	(280,324)	-
	190,495	575,418
Increase/(decrease) in provision charged to profit/loss	260,118	(104,599)
	450,613	470,819

AKUAPEM RURAL BANK LIMITED
Financial statements for the year ended 31 December 2020
(All amounts are expressed in Ghana Cedis unless otherwise stated)
Notes and significant accounting policies (continued)

10. Taxation	2020	2019
10.1 Income tax expenses		
Current tax expense	259,907	206,306
Charge to income statement for deferred tax	65,321	(102,710)
	325,228	103,597

10.2 Current tax

Year of assessment	Balance at 01/01/2020	Adjustment	Payments	Charge for the year	Balance at 31/12/2020
2019	103,214				103,214
2020	-		(478,214)	259,907	(218,307)
	103,214		(478,214)	259,907	(115,093)

The above tax position is subject to the agreement of the domestic tax division of the Ghana Revenue Authority.

10.3 Deferred tax	2020	2019
Balance at year start	123,060	225,770
Charge to income statement	65,321	(102,710)
	188,381	123,060

Reconciliation of tax expense to product of accounting profit and applicable rate	2020	2019
Profit before taxation	662,231	551,874
Tax at applicable rate (25%)	165,558	137,968
Add (Deduct):		
Tax effect of non-deductible expenses	269,610	215,813
Tax effect of capital allowances	(175,261)	(161,799)
Tax effect of deductible income	-	-
Tax effect of origination and reversal of temporary difference	65,321	(102,710)
Tax expense	325,228	89,272
Effective tax rate	49.11%	16.18%

AKUAPEM RURAL BANK LIMITED**Financial statements for the year ended 31 December 2020***(All amounts are expressed in Ghana Cedis unless otherwise stated)***Notes and significant accounting policies (continued)**

11. Cash and bank balances	2020	2019
Cash holdings	2,119,828	1,664,390
Banks	4,826,865	3,534,656
	6,946,693	5,199,046
11.1. Bank balance	2020	2019
ARB Apex bank	4,081,454	3,475,482
Other banks	745,411	59,174
	4,826,865	3,534,656
12. Trading investment	2020	2019
91/182 Day treasury bill	12,700,000	8,700,000
1-year T-bill	8,240,551	4,600,002
Treasury bill	20,940,551	13,300,002
GoG Bonds	9,700,004	6,818,051
Fixed deposit	22,715,169	21,060,625
Apex certificate of deposit	5,400,000	3,800,000
	58,755,724	44,978,678
Accrued interest	2,696,706	2,458,382
Unearned discount	(302,953)	(231,650)
	61,149,477	47,205,410
13. Equity investment	2020	2019
Apex Bank shares	679,723	634,178

AKUAPEM RURAL BANK LIMITED**Financial statements for the year ended 31 December 2020***(All amounts are expressed in Ghana Cedis unless otherwise stated)***Notes and significant accounting policies (continued)**

14. Loans and advances	2020	2019
a. Analysis by type of facility		
Overdrafts	817,172	875,842
Term loans	19,208,589	15,465,321
Gross loans and advances	20,025,761	16,341,163
Interest receivable	180,555	199,229
Interest in suspense	(109,309)	(64,988)
Less: provision for credit losses	(450,611)	(470,819)
Net loans and advances	19,646,396	16,004,585
b. Analysis by type of customer	2020	2019
Individuals	9,928,436	8,245,802
Private enterprise	451,433	473,266
Public enterprises & institutions	1,229,315	823,165
Others	8,416,577	6,798,934
	20,025,761	16,341,167
Interest receivable	180,555	199,229
Interest in suspense	(109,309)	(64,988)
Less: provision for Credit losses	(450,611)	(470,819)
Net loans and advances	19,646,396	16,004,589

AKUAPEM RURAL BANK LIMITED
Financial statements for the year ended 31 December 2020
(All amounts are expressed in Ghana Cedis unless otherwise stated)
Notes and significant accounting policies (continued)
15.1. Property, plant and equipment 2020

Cost/valuation	1 January	Additions	Reclassification/ transfer	Disposal/write off	31 December
Building	2,822,281	37,526	-	-	2,859,806
Furniture and fittings	333,191	67,774	12,500	(61,236)	352,229
Office equipment	552,558	170,509	-	(175,936)	547,131
Computer	863,891	103,046	11,250	(44,967)	933,220
Motor vehicles	813,693	196,982	-	(19,000)	991,675
Generator plant	252,070	78,887	-	-	330,957
Capital work in progress	101,513	-	(101,513)	-	-
Leasehold improvements	224,230	-	-	(224,230)	-
Total	5,963,427	654,724	(77,763)	(525,369)	6,015,018

Accumulated depreciation	1 January	Charge for the year	Disposal	31 December
Building	762,784	142,678	-	905,462
Furniture and fittings	202,782	59,552	(61,236)	201,098
Office equipment	429,527	98,413	(175,936)	352,004
Computer	373,133	225,952	(44,967)	554,118
Motor vehicle	623,214	118,942	(19,000)	723,156
Generator plant	129,017	24,648	-	153,665
Capital work in progress	-	-	-	-
Leasehold improvements	224,230	-	(224,230)	-
Total	2,744,687	670,185	(525,369)	2,889,503

Carrying value:

Building	1,954,344
Furniture and fittings	151,131
Office equipment	195,127
Computer	379,102
Motor vehicle	268,519
Generator plant	177,292
Capital work in progress	-
Leasehold improvements	-
31 December, 2020	3,125,515

AKUAPEM RURAL BANK LIMITED
Financial statements for the year ended 31 December 2020
(All amounts are expressed in Ghana Cedis unless otherwise stated)
Notes and significant accounting policies (continued)
15.2. Property, plant and equipment 2019

Cost/valuation	1 January	Additions	Reclassification	Disposal/write off	31 December
Building	2,799,249	3,842	19,190		2,822,281
Furniture and fittings	329,407	2,934	850		333,191
Office equipment	557,062	30,209	(34,713)		552,558
Computer	652,221	207,797	3,873		863,891
Motor vehicles	813,693	-	-		813,693
Generator plant	244,336	7,734	-		252,070
Capital work in progress	77,763	23,750	-		101,513
Leasehold improvements	224,230	-	-		224,230
Total	5,697,961	276,266	(10,800)		5,963,427

Accumulated depreciation	1 January	Charge for the year	Disposal	31 December
Building	618,160	144,624		762,784
Furniture and fittings	141,081	61,701		202,782
Office equipment	346,679	82,848		429,527
Computer	190,636	182,497		373,133
Motor vehicle	490,697	132,517		623,214
Generator plant	103,928	25,089		129,017
Capital work in progress	-	-		-
Leasehold improvements	201,810	22,420		224,230
Total	2,092,991	651,696		2,744,687

Carrying value:

Building	2,059,497
Furniture and fittings	130,409
Office equipment	123,031
Computer	490,758
Motor vehicle	190,479
Generator plant	123,053
Capital work in progress	101,513
Leasehold improvements	-
31 December, 2019	3,218,740

AKUAPEM RURAL BANK LIMITED

Financial statements for the year ended 31 December 2020
(All amounts are expressed in Ghana Cedis unless otherwise stated)

Notes and significant accounting policies (continued)

16.1. Intangible asset

Cost/ valuation 2020	1 January	Additions	Reclassification/ Transfer	31 December
Computer software	343,972	56,337	59,225	459,534
Accumulated amortization	1 January	Charge		31 December
Computer software	44,806	50,142		94,949
Carrying value				
31 December 2020				364,585

16.2. Intangible asset

Cost/ valuation 2019	1 January	Additions	Reclassification	31 December
Computer software	49,379	283,793	10,800	343,972
Accumulated amortization	1 January	Charge		31 December
Computer software	14,718	30,088		44,806
Carrying value				
31 December 2019				299,166

AKUAPEM RURAL BANK LIMITED**Financial statements for the year ended 31 December 2020*****(All amounts are expressed in Ghana Cedis unless otherwise stated)*****Notes and significant accounting policies (continued)**

17. Other assets	2020	2019
Rent prepaid	723,309	762,434
Inventory	87,729	60,221
Sundry debtors	354,688	273,433
Disbursed managed funds	345,170	324,937
Uncleared effects	16,633	32,620
Interagency Account	918,238	19,088
	2,445,767	1,472,733

18. Stated capital	2020		2019	
	Number	Amount	Number	Amount
Authorised no. of shares of no par value	5,000,000,000		5,000,000,000	
Issued and fully paid				
Issued for cash consideration	79,101,920	1,389,679	79,101,920	1,389,679
Issued for consideration other than cash	16,594,216	763,334	16,594,216	763,334
	95,696,136	2,153,013	95,696,136	2,153,013

19. Dividend paid and proposed

The Directors proposed a dividend of GHS0.0050 per share amounting to GHS 478,481.00 in 2018 out of which GHS 10,695.00 was paid in 2020.

20. Customer Deposits	2020	2019
Demand deposits	16,971,940	13,557,260
Time deposits	17,858,294	15,058,613
Savings accounts	43,662,431	31,711,488
E-Zwich	1,464,242	865,080
Accrued interest	581,598	590,230
	80,538,505	61,782,671

AKUAPEM RURAL BANK LIMITED

Financial statements for the year ended 31 December 2020
(All amounts are expressed in Ghana Cedis unless otherwise stated)

Notes and significant accounting policies (continued)

21. Payables and Accruals	2020	2019
Audit fees	35,438	35,438
Sundry creditors	218,073	2,525
Professional Charges	-	3,189
Payment order/bills payable	59,290	26,195
Office Accounts	1,753,880	799,432
	2,066,681	866,779
22. Dividend payable	2020	2019
Balance as at 1 st January	814,704	746,420
Declared during the year	-	478,481
Payment during the year	(10,696)	(410,197)
Balance at 31st December	804,008	814,704

AKUAPEM RURAL BANK LIMITED**Financial statements for the year ended 31 December 2020***(All amounts are expressed in Ghana Cedis unless otherwise stated)***Notes and significant accounting policies (continued)**

23.0 Cash generated from/ (used in) operations	2020	2019
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Cash flows from operating activities:

Profit/(loss) before tax	662,231	551,874
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Adjustment for non-cash items:

Depreciation and amortization	720,327	681,784
loan impairment	260,118	(104,599)
Impairment of investment	755,913	-
Write off	(280,066)	-
Prior year adjustment	174,956	(456,340)
Profit on sale of fixed assets	-	(1,661)
Transfer from capital work in progress expensed	18,539	-

Cash inflow before changes in assets and liabilities	2,312,018	671,057
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Changes in assets and liabilities

(increase) in investment	(14,699,979)	(7,567,996)
Increase/decrease in loans and advances	(3,901,928)	1,486,676
Increase/decrease in other assets	(973,034)	411,374
Increase/decrease in customer deposit	18,755,834	6,907,253
Increase/ decrease in other liabilities	1,199,902	(681,996)

Cash generated from/ (used in) operations	2,692,813	1,226,369
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24. Long term borrowings	2020	2019
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ATM facility	56,934	92,517
T24 license	218,678	281,157
Covid 19 relief loan	351,984	-

627,596	373,674
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25. Capital commitments

There were no outstanding capital commitments at 31 December 2020 (2019: Nil).

26. Contingencies

There were no contingent assets or liabilities provided for at 31 December 2020 (2019: Nil).

AKUAPEM RURAL BANK LIMITED

Financial statements for the year ended 31 December 2020

(All amounts are expressed in Ghana Cedis unless otherwise stated)

Notes and significant accounting policies (continued)

27. Legal confirmation

There were legal confirmations to confirm a number of legal proceedings against the Bank at the reporting date.

28. Related party disclosures

The objective of IAS 24 is to ensure that an entity's financial statements contain the disclosures necessary to draw attention to the possibility that its financial position and profit or loss may have been affected by the existence of related parties and by transactions and outstanding balances with such parties.

A related party is a person or entity that is related to the entity that is preparing its financial statements referred to as the reporting entity.

- a) A person or a close member of that person's family is related to a reporting entity if that person:
 - has control or joint control over the reporting entity;
 - has significant influence over the reporting entity; or
 - is a member of the key management personnel of the reporting entity or of a parent of the reporting entity.
- b) An entity is related to a reporting entity if any of the following conditions applies:
 - The entity and the reporting entity are members of the same group (which means that each parent, subsidiary and fellow subsidiary is related to the others).
 - One entity is an associate or joint venture of the other entity (or an associate or joint venture of a member of a group of which the other entity is a member).
 - Both entities are joint ventures of the same third party.
 - One entity is a joint venture of a third entity and the other entity is an associate of the third entity.
 - The entity is a post-employment defined benefit plan for the benefit of employees of either the reporting entity or an entity related to the reporting entity. If the reporting entity is itself such a plan, the sponsoring employers are also related to the reporting entity.
 - The entity is controlled or jointly controlled by a person identified in (a).
 - A person identified in (a)(i) has significant influence over the entity or is a member of the key management personnel of the entity (or of a parent of the entity).
 - The entity, or any member of a group of which it is a part, provides key management personnel services to the reporting entity or to the parent of the reporting entity.

The following are deemed not to be related for the reporting purposes of Akuapem Rural Bank Limited.

- two entities simply because they have a director or key manager in common.
- two venturers who share joint control over a joint venture.
- providers of finance, trade unions, public utilities, and departments and agencies of a government that does not control, jointly control or significantly influence the reporting entity, simply by virtue of their normal dealings with an entity (even though they may affect the freedom of action of an entity or participate in its decision-making process).
- a single customer, supplier, franchiser, distributor, or general agent with whom an entity transacts a significant volume of business merely by virtue of the resulting economic dependence.

AKUAPEM RURAL BANK LIMITED

Financial statements for the year ended 31 December 2020

(All amounts are expressed in Ghana Cedis unless otherwise stated)

Notes and significant accounting policies (continued)

Related party transactions

A related party transaction is a transfer of resources, services, or obligations between related parties, regardless of whether a price is charged.

Disclosure

Relationships between parents and subsidiaries. Regardless of whether there have been transactions between a parent and a subsidiary, an entity must disclose the name of its parent and, if different, the ultimate controlling party.

If neither the entity's parent nor the ultimate controlling party produces financial statements available for public use, the name of the next most senior parent that does so must also be disclosed.

Management compensation. Disclose key management personnel compensation in total and for each of the following categories: short-term employee benefits, post-employment benefits, other long-term benefits, termination benefits and share-based payment benefits.

Key management personnel are those persons having authority and responsibility for planning, directing, and controlling the activities of the entity, directly or indirectly, including any directors (whether executive or otherwise) of the entity.

If an entity obtains key management personnel services from a management entity, the entity is not required to disclose the compensation paid or payable by the management entity to the management entity's employees or directors. Instead the entity discloses the amounts incurred by the entity for the provision of key management personnel services that are provided by the separate management entity.

Related party transactions disclosures cover the nature of the related party relationship as well as information about the transactions and outstanding balances necessary for an understanding of the potential effect of the relationship on the financial statements.

These disclosures would be made separately for each category of related parties and would include the amount of the transactions the amount of outstanding balances, including terms and conditions and guarantees provisions for doubtful debts related to the amount of outstanding balances expense recognised during the period in respect of bad or doubtful debts due from related parties.

AKUAPEM RURAL BANK LIMITED**Financial statements for the year ended 31 December 2020***(All amounts are expressed in Ghana Cedis unless otherwise stated)***Notes and significant accounting policies (continued)****b. Transactions with Key Management Personnel (KMP)**

The details of transactions between the bank and its key management personnel are as follows:

Remuneration

Details	2020	2019
Directors emoluments	151,366	106,979
Salaries and other benefits (KMP*)	1,133,682	1,154,540
	1,285,048	1,261,519

*KMP comprised of the General Manager, Branch Managers, and Departmental Heads.

Loans and advances

Loans to Board members and senior management staff are given in line with the policies of the Bank. Below are the details:

Details (2020)	At start of year	Addition	Payments	Write offs	At year end
Firms in which directors are related	-	-	-	-	-
Directors	-	-	-	-	-
Officers	533,321	996,300	(678,592)	-	851,029
Other employees	1,969,357	530,848	(988,830)	-	1,511,375
	2,502,678			-	2,362,404

No loans were granted to the Directors of the Bank during the 2020 reporting year.

Details (2019)	At start of year	Addition	Payments	Write offs	At year end
Firms in which directors are related	-	-	-	-	-
Directors	-	-	-	-	-
Officers	441,484	188,000	98,163	-	533,321
Other employees	918,411	560,000	490,946	-	1,969,357
	1,359,895	748,000	589,109	-	2,502,678

AKUAPEM RURAL BANK LIMITED**Financial statements for the year ended 31 December 2020***(All amounts are expressed in Ghana Cedis unless otherwise stated)***Notes and significant accounting policies (continued)****29. Shareholding structure****29.1 Number of shares outstanding**

Earnings and dividend per share are based on 2020 96,646,330 (2019: 95,696,136) Ordinary Shares Outstanding.

29.2 Directors shareholding:

The total number of shares of 1,113,545 held by the Directors of the Bank at the reporting date represented **1.152%** of the total number of shares outstanding then. Below are the details:

Directors' shareholding as at 31 December 2020

Board of Directors	Position	Account numbers	Share	Percentage(%) of shareholding
Mr. Kwame Gyeke-Amoako	Vice Chairman	SH31401767	181,000*	0.187
Dr. William Adjei Twumasi	Non-Executive Director	SH31401418	420,000*	0.435
Dr. Ernest Obuobisa-Darko	Non-Executive Director	SH31402310	80,000	0.083
Mr. Samuel Dako	Non-Executive Director	SH31401888	157,545	0.163
Mr. Emmanuel Nii Awuku	Non-Executive Director	SH31401385	275,000	0.285
				1.152%

AKUAPEM RURAL BANK LIMITED**Financial statements for the year ended 31 December 2020***(All amounts are expressed in Ghana Cedis unless otherwise stated)***Notes and significant accounting policies (continued)****29.3 Key Management staff****Other than the Board of Directors shareholding as at 31/12/2020**

The Bank had 31 staff holding its shares, out of which seven (7) were key management personnel as below:

Name	Account number	Number of shares	Percentage of shareholding
Irene Anang-Tetteh	SH31400801	800,904	0.829
Samuel Adu Dartey	SH31400800	450,108	0.466
Mary Dawson	SH31400807	289,558	0.300
Ofosu Penrose Forson	SH31400803	203,308	0.210
Mary Nancy Kpakpo	SH31401381	187,500	0.194
Isaac Kankam Appeaning	SH31401904	167,500	0.173
Evelyn Akley Nargertey	SH31401863	155,000	0.160
Asare Kingsley Opare	SH31401699	146,058	0.151
Atiemoh Cynthia Ampofowaa	SH31401306	93,750	0.097
Laryea Edna Keteku	SH31401350	80,000	0.083
Giftly Ohene	SH31401549	76,250	0.079
Augustina Obiri Nyankor	SH31401392	75,000	0.078
Doreen Adu	SH31401890	50,000	0.052
Agyapong Livingstone Kwaasi	SH31402292	35,000	0.036
Seth Akwa Darko	SH31402128	18,750	0.019
Samuel Larbi	SH31402285	15,721	0.016
Kenneth Adu-Siaw	SH31401701	12,500	0.013
Kingsley Kyere	SH31402363	3,250	0.003
Cynthia Manteaw	SH31401408	1,250	0.001
Total employee shareholding		2,861,407	2.961
Other than employee shareholding		93,784,923	97.039
Total shareholding		96,646,330	100

**Total shares of 950,194 yet to be regularised with the Registrar General's Department were presented as deposit for shares in 2020.*

AKUAPEM RURAL BANK LIMITED

Financial statements for the year ended 31 December 2020

(All amounts are expressed in Ghana Cedis unless otherwise stated)

Notes and significant accounting policies (continued)

30. Financial risk management

Financial risk factors

The Bank's activities expose it to a variety of financial risks and those activities involve the analysis, evaluation, acceptance and management of some degree of risk or combination of risks. Taking risk is core to the financial business, and the operational risks are an inevitable consequence of being in business. The Bank is exposed to a variety of financial risks which include market risk (including currency risk, interest rate risk and price risk), credit risk and liquidity risk.

The Bank's overall risk management programme seeks, to achieve an appropriate balance between risk and return and minimise potential adverse effects on the Bank's financial performance. The Bank's risk management policies are designed to identify and analyse these risks, to set appropriate risk limits and controls, and to monitor the risks and adherence to limits by means of reliable and up-to date information systems. Management regularly reviews the Bank's risk management policies and systems to reflect changes in markets, products and emerging best practice.

The objective of Management is to ensure that the Bank carries out its operations in manner that ensure that risks are balanced with rewards. Management ensures that the Bank complies with all regulatory guidelines in the pursuit of profitable opportunities while avoiding excessive, unnecessary and uncontrollable risk exposures. Financial risk is an inherent feature in the business activities of the Bank, and therefore Management has put in place various mitigating criteria to prevent their occurrence.

The internal audit function plays a key role in providing an objective view and continuous assessment of the effectiveness of the internal control systems in the Bank. The system of internal controls are implemented and monitored by appropriately trained personnel whose duties and reporting lines are clearly defined.

The Bank's primary defense against risks of losses is its approved policies, procedures and systems of internal controls. In addition, internal control mechanisms ensure that appropriate action is taken when identified risk pass acceptable levels, as approved by the Board of Directors. Internal control, from time to time, reviews and assesses the adequacy of procedures and controls.

The Bank uses different methods to measure and manage the various types of risk to which it is exposed. These methods are explained below:

31. Market risk

The Bank takes on exposure to market risks, which is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risks arise from open positions in interest rate, currency and equity products, all of which are exposed to general and specific market movements and changes in the level of volatility of market rates or prices such as interest rates, foreign exchange rates and equity prices.

AKUAPEM RURAL BANK LIMITED

Financial statements for the year ended 31 December 2020

(All amounts are expressed in Ghana Cedis unless otherwise stated)

Notes and significant accounting policies (continued)

31.1 Interest rate risk

Interest rate risk arises from the effects of fluctuations in the prevailing levels of markets interest rates on the fair value of financial assets and liabilities and future cash flows. The Bank holds fixed interest-bearing securities and debt that expose the Bank to interest rate risk. The Bank manages interest rate risk by measuring the mismatch of the interest rate sensitivity gap of financial assets and liabilities.

The tables below summarises the Bank's exposure to interest rate risks. It includes the Bank's financial instruments at carrying amounts categorised by the earlier of contractual re-pricing or maturity dates.

31.2 Credit risk

The Bank is exposed to credit risk, which is the risk that counterparty will be unable to pay amounts in full when they fall due. The Bank is exposed to counterparty risk on cash and cash equivalents, amounts due from financial institutions and other receivable balances. It is also exposed to other credit risks arising from investments in debt securities.

The maximum exposure to credit risk before any credit enhancements at 31 December 2020 is the carrying amount of the financial assets as set out below:

	Notes	2020	2019
Balance with other banks	11.1	4,826,865	3,534,656
Investments	12	61,149,477	47,205,410
Loans and advances	14	19,646,396	16,004,585
Equity investments	13	679,723	634,178
		86,302,461	67,378,829

31.3 Liquidity risk

Liquidity risk is the risk that the Bank may not be able to generate sufficient cash resources to settle its obligations in full as they fall due or can only do so on terms that are materially disadvantageous.

The Bank manages this risk by ensuring that it has access to a variety of funding sources. Particular attention is paid to marketability of assets, whose availability for sale or as collateral for refinance is evaluated under different market scenarios. Consequently, the Bank monitors any factors that may impact negatively on its capability to remain liquid. It is the policy of the Bank to invest in short-term securities that could be readily disposed. Management monitors its liquidity position on daily basis and the Board reviews it at its board meetings.

AKUAPEM RURAL BANK LIMITED**Financial statements for the year ended 31 December 2020***(All amounts are expressed in Ghana Cedis unless otherwise stated)***Notes and significant accounting policies (continued)****Non-derivative financial assets and liabilities held for managing liquidity risk**

The table below analyses the Bank's financial assets and liabilities into relevant maturity groupings based on the remaining year at the reporting date to the contractual maturity date. The amounts in the table are the contractual undiscounted cash flows.

2020	0 -3 months	4 – 6 months	7 – 12 months	Above 1 year
Assets				
Cash and bank balance	6,946,693	-	-	-
Short term investment	17,173,944	16,358,908	8,240,551	19,376,074
Loans and Advances	19,134,255	264,629	78,157	169,355
Equity investment				679,723
Other assets	<u>2,445,767</u>	<u>-</u>	<u>-</u>	<u>-</u>
Total assets	<u>45,700,659</u>	<u>16,623,537</u>	<u>8,318,708</u>	<u>20,225,152</u>
Liabilities				
Demand and savings	60,634,371	-	-	-
Time deposits	-	-	17,858,294	-
Payables & accruals	2,066,681	-	-	-
Other liabilities (dividend)	<u>804,008</u>	<u>-</u>	<u>-</u>	<u>-</u>
Total liabilities	<u>63,505,060</u>	<u>-</u>	<u>17,858,294</u>	<u>-</u>

AKUAPEM RURAL BANK LIMITED**Financial statements for the year ended 31 December 2020***(All amounts are expressed in Ghana Cedis unless otherwise stated)***Notes and significant accounting policies (continued)****Net liquidity gap**

2020	0 - 3 months	4 – 6 months	7 – 12 months	Above 1 year
Assets				
Cash and bank balance	6,946,693	-	-	-
Short term investment	17,173,944	16,358,908	8,240,551	19,376,074
Loans and Advances	19,134,255	264,629	78,157	169,355
Equity investment				679,723
Other assets	<u>2,445,767</u>	<u>-</u>	<u>-</u>	<u>-</u>
Total assets	<u>45,700,659</u>	<u>16,623,537</u>	<u>8,318,708</u>	<u>20,225,152</u>
Liabilities				
Demand and savings	60,634,371	-	-	-
Time deposits	-	-	17,858,294	-
Payables & accruals	2,066,681	-	-	-
Other liabilities (dividend)	<u>804,008</u>	<u>-</u>	<u>-</u>	<u>-</u>
Total liabilities	<u>63,505,060</u>	<u>-</u>	<u>17,858,294</u>	<u>-</u>
Net liquidity gap	<u>(17,804,401)</u>	<u>16,623,537</u>	<u>(9,539,586)</u>	<u>20,225,152</u>

31.4 Capital risk management

The capital of the Bank is represented by the net assets attributable to Equity Shareholders of the Bank. The amount of net asset attributable to Equity Shareholders can change significantly depending on the quality of its asset's portfolio. The Bank's objective for managing capital is to:

- Comply with the capital requirements set out by the Bank of Ghana;
- Safeguard the Bank's ability to continue as a going concern in order to provide returns for Shareholders;
- Maintain a strong capital base to support the development of its business.

The Board of Directors and Management monitor capital on the basis of the value of net assets attributable to Equity Shareholders of the Bank.

AKUAPEM RURAL BANK LIMITED

Financial statements for the year ended 31 December 2020

(All amounts are expressed in Ghana Cedis unless otherwise stated)

Notes and significant accounting policies (continued)

31.5 Fair value estimation

Fair value hierarchy

IFRS 13 specifies a hierarchy of valuation techniques based on whether the inputs to those valuation techniques are observable or unobservable. Observable inputs reflect market data obtained from independent sources; unobservable inputs reflect the Bank's market assumptions. These two types of inputs have created the following fair value hierarchy:

- Level 1 – Quoted prices (unadjusted) in active markets for identical assets or liabilities. This level includes listed equity securities and debt instruments on exchanges (for example, The Ghana Stock Exchange).
- Level 2 – Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices).
- Level 3 – inputs for the asset or liability that are not based on observable market data (unobservable inputs). This level includes equity investments and debt instruments with significant unobservable components. This hierarchy requires the use of observation market data when available. The Bank considers relevant and observable market prices in its valuation when possible. The fair value of the Bank's financial assets and liabilities approximate the respective carrying amounts, due to the generally short years to maturity dates.

a) Fair value hierarchy

This hierarchy requires the use of observable market data when available. The Bank considers relevant observable market prices in its valuation where possible. There has been no movement of financial instruments between different levels in the current year. Financial instruments measured at fair value at 31 December were classified as follows:

Year to 2020	Level 1	Level 2	Level 3	Total
Financial assets	Financial assets at fair value through profit or loss	Financial assets at fair value through profit or loss		
Quoted	-	-		
Unquoted		679,723		679,723

AKUAPEM RURAL BANK LIMITED**Financial statements for the year ended 31 December 2020***(All amounts are expressed in Ghana Cedis unless otherwise stated)***Notes and significant accounting policies (continued)****Financial assets by category**

2020	Loans and receivables	Held-to- maturity	Fair value through Profit and loss	Available- for- sale	Total
Cash and bank balance	-	-	6,946,693	-	6,946,693
Short term investment	-	61,149,477	-	-	61,149,477
Loans and advances	19,646,396	-	-	-	19,646,396
Equity investment	-	-	-	679,723	679,723
Total	<u>19,646,396</u>	<u>61,149,477</u>	<u>6,946,693</u>	<u>679,723</u>	<u>88,422,289</u>

2019	Loans and receivables	Held-to- maturity	Fair value through Profit and loss	Available- for- sale	Total
Cash and bank balance	-	-	5,199,046	-	5,199,046
Short term investment	-	47,205,410	-	-	47,205,410
Loans and advances	16,004,585	-	-	-	16,004,585
Equity investment	-	-	-	634,178	634,178
Total	<u>16,004,585</u>	<u>47,205,410</u>	<u>5,199,046</u>	<u>634,178</u>	<u>69,043,219</u>

32 Stated capital and reserves**32.1 Stated capital**

The stated capital of a Bank shall consist of the sum of the following items:

(a) the total proceeds of every issue of shares for cash, including any amounts paid on calls made on shares issued with an unpaid liability, without any deductions for expenses or commissions;

(b) the total value of the consideration, as stated in the agreement, received for every issue of shares otherwise than for cash;

AKUAPEM RURAL BANK LIMITED

Financial statements for the year ended 31 December 2020

(All amounts are expressed in Ghana Cedis unless otherwise stated)

Notes and significant accounting policies (continued)

(c) the total amount which the Bank by special resolution shall have resolved to transfer to stated capital from surplus, as defined in section 69 of the Companies Act, including the credit balance on the share deals account referred to in section 63 of the above Act

33.0 Statutory reserve fund

The Statutory Reserve Fund is required under Section 34 of the Banks and Specialised Act, 2016 (Act 930) and is elaborated as follows:

34. (1) A bank or specialised deposit taking Institution shall establish and maintain a Reserve Fund into which shall be transferred to net profit each year.

Transfer to statutory reserve

- Where the amount of Reserve Fund is less than fifty per cent of the paid-up capital of the bank or specialised deposit-taking institution, an amount which is not less than fifty per cent of the net profit for the year;
- Where the amount of Reserve Fund is fifty per cent or more but less than one hundred per cent of the paid-up capital of the bank or specialised deposit-taking institution, an amount which is not less than twenty-five per cent of the net profit for the year;
- Where the amount of the Reserve Fund is equal to hundred per cent or more of the paid-up capital of the bank or specialised deposit-taking institution, an amount equal to twelve and half per cent of the net profit for the year.

The transfer required under subsection (1) shall be made:

- before the declaration of interim or final dividends, and
- after making provision for tax

(b) Reserves

The reserves of the Bank in accordance with section 70 of the Companies Act, 2019 (Act 992) is the amount of money by which the assets of the Bank, other than unpaid calls and other sums of money payable in respect of the shares of the Bank and not including treasury shares, less the liabilities of the Bank, as shown in the accounts of the Bank prepared and audited in accordance with sections 127 to 142, exceed the stated capital of the Bank.

(c) Retained earnings

The retained earnings of a Bank is the reserves as defined above less amounts of money attributable to

- an unrealised appreciation in the value of an asset of the Bank, other than such an appreciation in the value of an asset as would, under normal accounting principles, be credited to profit and loss account, unless the amount of such appreciation has been transferred to stated capital; and
- a balance standing to the credit of the share deals account immediately before the ascertainment of the retained earnings.

AKUAPEM RURAL BANK LIMITED

Financial statements for the year ended 31 December 2020

(All amounts are expressed in Ghana Cedis unless otherwise stated)

Notes and significant accounting policies (continued)

(d) Capital adequacy

Regulatory capital	2020	2019
Tier 1 capital	10,370,019	9,969,754
Tier 2 capital	681,429	635,885
Total regulatory capital	10,929,507	10,605,639
Adjusted capital base (a)	9,885,199	9,672,295
Adjusted asset base (b)	48,623,248	42,781,529
Capital adequacy ratio (a/b)	20.33	22.61
Capital surplus (adjusted capital base less 10% of adjusted asset base)	5,022,874	5,394,142
	2020	2019
Capital adequacy by BoG	10%	10%
Capital adequacy of the Bank	20.33%	22.61%

34.0 Events after reporting date

Events subsequent to the Financial Position date are reflected in the Financial Statements only to the extent that they relate to the year under consideration and the effect is material. On 12th March, 2020, Ghana Health Service officially announced Ghana's first case of Covid 19. From the website of Ghana Health Service, as at 17th May, 2020, Eastern Region was the fourth affected region with a Covid 19 case count of 99. During our audit, we requested for the business impact assessment of the Covid 19 pandemic on the operation of Akuapem Rural Bank Limited. The general and potential impact of the pandemic in the financial and investment sector could be: troubled debt restructuring and debt modifications; debt classification (current vs non-current); asset impairments; impairments of loans and receivables, loss contingencies and loss contract; contract modifications; lease concessions and modifications; going concern and material uncertainties; employment termination benefits; and insurance recoveries and related to business interruptions.

Covid 19 impact assessment

The World Health Organization declared the Coronavirus Disease (COVID-19) a global pandemic on March 11, 2020. The President of the Republic of Ghana as a result of this, instituted a number of measures to control the spread of the virus on March 15, 2020. These measures were escalated to a partial lockdown of Accra, Tema, Kasoa and Kumasi effective March 30, 2020.

In light of the above, Akuapem Rural Bank Limited triggered its Business Continuity Plan at the affected areas to ensure the bank continues to operate and provide services to its clients. The situation was monitored and the required actions taken in line with the directives issued by Government to ensure the Bank continued to operate in 2020.

AKUAPEM RURAL BANK LIMITED

Financial statements for the year ended 31 December 2020

(All amounts are expressed in Ghana Cedis unless otherwise stated)

Notes and significant accounting policies (continued)

The potential impact of the COVID-19 pandemic on the bank's performance for 2020 was assessed from time to time based on the development of the pandemic. However, the pandemic did not impact negatively on the going concern of the bank.

It is in the light of the above development in the Bank's environment that Management submits to you a report on the impact of the COVID 19 pandemic on the operations of Akuapem Rural Bank Limited for the year 2020.

Find below status of various aspects of the Bank's operations during 2020:

Profitability

The bank met its profit target for the year 2020 even though the pandemic negatively affected the operations of a few clients which some wrote for moratorium. Especially mentioned is the Presbyterian Church, Nana Takyi bitters and Center for Plant Medicine.

Besides, loan disbursements in respect of Term loans and Microfinance loans which contribute significantly to our loan portfolio growth were negatively affected because loans to sectors were suspended in 2020 which affected our income in both commitment and processing fees.

The Bank did quite well in exceeding its profit target despite the impact of the pandemic on cost and revenue from affected clients.

Liquidity

Despite the inability of some of the top twenty exposures, microfinance loans clients and other loans clients to service their loans due to the pandemic, the Bank grew its deposits well enough to stay afloat throughout the year. The Bank grew its deposit by 31.71%.

Loan Portfolio

The Bank halted the disburse Microfinance loans which had always been an average of 50% of total loans disbursed on monthly basis from March to May, 2020. Disbursement of loans to sectors like churches, schools, event organizers, transport businesses and hotels were stopped for some time due to the impact of the COVID 19.

This led to our inability to achieve our disbursement target for 2020. The disbursement target was missed by 6.11%. Loan portfolio target was also missed by 8.76%. In the midst of the pandemic the Bank's loan portfolio grew by 24.07% in 2020.

Deposit Portfolio

The Bank's Deposit portfolio grew by 31.71% in the year. Deposit mobilization from churches, hotels, schools, transport owners and event organizers were affected by pandemic.

Expenditure

The pandemic has also brought about increase in expenses due to purchases of PPEs. These were managed in such a way that our profit target for 2020 was achieved.

AKUAPEM RURAL BANK LIMITED

Financial statements for the year ended 31 December 2020

(All amounts are expressed in Ghana Cedis unless otherwise stated)

Notes and significant accounting policies (continued)

35.0 Comparatives

Except when a standard or an interpretation permits or requires otherwise, all amounts are reported or disclosed with comparative information.

Where IAS 8 applies, comparative figures have been adjusted to conform to changes in presentation in the current Year.

36.0 Contingencies

At the end of the reporting year, there were no contingencies per the responses to our legal confirmation.

37.0 Changes in Laws and Regulations (Anti-Money Laundering Act, 2020 (Act 1044))

On 29th December, 2020 the Anti-Money Laundering Act, 2020 (Act 1044) came into full force with the repeal of the Anti-Money Laundering Act, 2008 (Act 749) and Anti-Money Laundering (Amendment) Act, 2014. The Bank, Management and the Board complied with the requirements of the earlier law until its repeal on 29th December 2020. Subsequently, the Bank has generally kept its books, records and documentation in a manner consistent with the requirements of the repealed Acts.

38.0 Prior year adjustments

This relates to reconciliation of tax liability and reversal of accrued expenses.

39.0 Write off

This relates to non-existing balances and malfeasance

AKUAPEM RURAL BANK LIMITED
Financial statements for the year ended 31 December 2020
(All amounts are expressed in Ghana Cedis unless otherwise stated)
Notes and significant accounting policies (continued)

40.0 Value added statement	2020	2019
Interest and banking income	14,863,811	13,766,263
Direct cost	(2,233,419)	(2,804,206)
Value added by banking services	12,630,392	10,962,057
Non-banking income	351,827	260,371
Impairment	(1,016,031)	104,599
Value added	11,966,188	11,327,027
Distributed as follows		
To employees:		
Directors	(151,366)	(106,979)
Other employees	(6,475,106)	(6,460,730)
To Government:		
Income tax	(325,228)	(103,597)
Bank's expansion and growth:		
Depreciation and amortisation	(720,327)	(681,784)
Other operating cost	(3,957,158)	(3,525,660)
To retained earnings	337,003	448,277

41. Shareholders' information
41.1 Shareholding distribution as at 31 December, 2020

Holding	Number of shareholders	Percentage of shareholders (%)	Number of shares	Percentage of holding (%)
1-1,000	28	1.18	25,642	0.03
1,001-5,000	878	36.92	1,995,110	2.06
5,001-10,000	466	19.60	3,625,146	3.71
10,001-50,000	734	30.87	15,593,428	16.13
Over 50,000	272	11.44	75,407,184	78.02
	2,378	100	96,646,330*	100

**Total shares of 932,499 yet to be regularised with the Registrar General's Department were presented as deposit for shares in 2020.*

AKUAPEM RURAL BANK LIMITED**Financial statements for the year ended 31 December 2020***(All amounts are expressed in Ghana Cedis unless otherwise stated)***Notes and significant accounting policies (continued)****41.2 Twenty largest Shareholders as at 31 December, 2020**

Number	Customer number	Shareholders	Number of shares	Percentage of shareholding
1.	SH31402378	Dordunoo Cletus Kwashi	6,000,000	6.208
2.	SH31402311	Akua Aboabea Aboah	5,881,250	6.085
3.	SH31401315	Samuel Okyere Ayisi	4,036,615	4.177
4.	SH31401895	Owusu Amoah Ammishaddai/Emma	3,414,880	3.533
5.	SH31401766	Samuel Larbi Darko Prof Benjamin Kwadjo	2,507,904	2.595
6.	SH31401879	Ahunu	1,875,000	1.940
7.	SH31401586	Samuel Dadzie	1,637,500	1.694
8.	SH31401165	Edward Henaku Boohene	1,445,013	1.495
9.	SH31401002	Ernestina Siebe Ayisi	1,426,439	1.476
10.	SH31401209	Kwabena Boadu Oku Afari	1,351,891	1.399
11.	SH31402197	Cedars Investment Limited	1,285,500	1.330
12.	SH31401909	Cynthia Mullings-Akuffo	1,187,500	1.229
	SH31401881	Dr Esther Odofoley Sakyi-Dawson	1,177,000	1.218
13.	SH31401616	Vivian Korkor Agbozo	1,173,750	1.214
14.	SH31402146	Esther Kwafo	1,125,000	1.164
16.	SH31401821	Kofi Anane-Kyeremeh	1,000,000	1.035
17.	SH31401965	Joshua R Ayisi	993,750	1.028
18.	SH31402087	Regina Obu	962,500	0.996
19.	SH31400801	Irene Anang -Tetteh	800,904	0.829
		Major Melody Millicent		
20.	SH31401294	Danquah	670,000	0.693
			39,952,396	41.34
21.		Others	56,693,934	58.66
			96,646,330	100%

**Total shares of 932,499 yet to be regularised with the Registrar General's Department were presented as deposit for shares in 2019.*